2007

State of Utah v. Jamis M. Johnson : Brief of Appellee

Utah Court of Appeals

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Rodney G. Snow; Clyde, Snow, Sessions & Swenson; Counsel for Appellant.
Karen A. Klucznik; Mark W. Baer; Assistant Attorney General; Mark L. Shurtleff; Utah Attorney General; Counsel for Appellee.

Case No. 20070909-CA

IN THE

UTAH COURT OF APPEALS

State of Utah,
Plaintiff/Appellee,

vs.

Jamis M. Johnson,
Defendant/Appellant.

Brief of Appellee

Appeal from a conviction for one count of securities fraud, a second degree felony, in violation of Utah Code Ann. §§ 61-1-1 and 61-1-21 (2000), in the Fourth Judicial District Court of Utah, Millard County, the Honorable Donald J. Eyre presiding.

KAREN A. KLUCZNIK (7912)
MARK W. BAER
Assistants Attorney General
MARK L. SHURTLEFF (4666)
Utah Attorney General
160 East 300 South, 6th Floor
P.O. Box 140854
Salt Lake City, UT 84114-0854
Telephone: (801) 366-0180

Counsel for Appellee

RODNEY G. SNOW
Clyde Snow Sessions & Swenson
One Utah Center
201 South Main Street, 13th Floor
Salt Lake City, Utah 84111-2216

Counsel for Appellant

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Counsel for Appellee

RODNEY G. SNOW
Clyde Snow Sessions & Swenson
One Utah Center
201 South Main Street, 13th Floor
Salt Lake City, Utah 84111-2216

Counsel for Appellant

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STATEMENT OF JURISDICTION

Defendant appeals from a conviction for securities fraud, a second degree felony. This Court has jurisdiction under Utah Code Ann. § 78A-4-103(2)(e) (West 2008).

STATEMENT OF THE ISSUES

1. Where the victims conveyed their dairy farm and its equipment to an outside corporation in exchange for stock in the corporation, did the trial court properly rule that the transaction constituted a disposition of securities for value under Utah law?

Standard of Review. Issues of statutory construction are questions of law reviewed for correctness. *See State v. Valdez*, 2003 UT App 314, ¶ 7, 78 P.3d 627. Similarly, a trial court's ruling on a motion to dismiss presents a question of law reviewed for correctness. *See State v. Krueger*, 1999 UT App 54, ¶ 10, 975 P.2d 489.

2. Did the trial court abuse its discretion in letting the State's expert opine on the general reach of Utah's securities laws and the disclosures necessary thereunder, where the State's expert never offered an opinion on defendant's guilt?

Standard of Review. Rulings on the admissibility of expert testimony are reviewed for abuse of discretion. *See State v. Stringham*, 957 P.2d 602, 607 (Utah App. 1998).

3. Do defendant's due process and separation of powers claims fail where they rest on an inaccurate portrayal of the State's legal arguments to the jury and, in any case, the trial court properly instructed the jury on the law?[1]

Standard of Review. Whether a statute is constitutional as applied raises a question of law reviewed for correctness. *See State v. Ross*, 2007 UT 89, ¶ 17, 174 P.3d 628.

4. Does this Court have jurisdiction to reach defendant's challenge to the trial court's order denying his Renewed Motion for New Trial, where defendant's notice of appeal did not perfect an appeal from that order?

Standard of Review. No standard of review applies to this issue.

5. Does this Court have jurisdiction to reach defendant's challenge to the trial court's restitution order, where defendant's notice of appeal did not perfect an appeal from that order?

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[1] The Issues and Standard of Review section of defendant's brief includes a claim, raised as Issue 3, challenging the trial court's refusal to give defendant's proposed jury instruction concerning expert testimony. *See* Aplt. Br. at 3. However, the Argument section of defendant's brief does not address this issue as a separate claim but, rather, merely addresses it in passing in his Issue 2. Thus, the State renumbers defendant's issues 4, 5, and 6 as issues 3, 4, and 5.

Standard of Review. No standard of review applies to this issue.

CONSTITUTIONAL PROVISIONS, STATUTES, AND RULES

The following statutes and court rules are attached at Addendum A:

> Utah Code Ann. §§ 61-1-1, 61-1-13, 61-1-21 (2000);
> Utah R. App. P. 4; Utah R. Crim. P. 24; Utah R. Evid. 702, 704.

STATEMENT OF THE CASE

Defendant and co-defendant Paul Schwenke were charged with one count of securities fraud and one count of theft by deception (R.63-65). After a preliminary hearing, defendant was bound over as charged (R.77-79). The trial court granted defendant's motion to sever his and his co-defendant's cases (R.122-29,1030, 429).

Defendant moved to quash the bindover (R.131-58). After a hearing, the trial court granted the State's motion to dismiss the theft charge, but denied defendant's motion to quash the securities fraud charge (R.541-44). Defendant's motions to dismiss and for partial summary judgment were also denied (R.843-44,895-96,1199-2000,1201-03,1321-22).

At trial, defendant moved to dismiss the case at the close of the State's case-in-chief (R.1999:268). The court denied the motion (R.1999:290). The jury convicted defendant as charged (R.1451). Defendant's motion to arrest judgment was denied (R.1506-08, 1612-14).

On June 6, 2007, defendant was sentenced to a suspended term of one-to-fifteen years in prison, one year in jail, and 36 months probation (R.1677-80). He was also ordered to pay restitution, jointly and severally with his original co-defendant, of $125,000 (*Id.*).

On June 15, 2007, defendant objected to the restitution order and requested a restitution hearing (R.1619-20). Defendant then moved for a new trial (R.1621-23). On

July 2, 2007, the trial court entered its final Sentence, Judgment, and Commitment (R.1677-80). On October 10, 2007, the trial court entered an order denying defendant's Motion for New Trial (R.1964-79). On October 10 and 24, 2007, the trial court held restitution hearings (R.1980-82,1995-96). On November 8, 2007, defendant filed a notice of appeal (R.2000-02). On November 14, 2007, defendant filed a Renewed Motion for New Trial (R.2003-05). On December 5, 2007, the trial court reduced restitution to $120,000 (R.2032-42). On February 11, 2008, the court denied defendant's second motion for new trial (R.2074).

STATEMENT OF FACTS

Ron Myers started moving his family dairy farm from Oregon to Millard County, Utah around 1981. In 2000, Myers held the farm in a limited liability corporation, Dairy-King Farm, with his son-in-law Jim Young and Young's brother. Young was the primary manager of the farm, which had about 150 cows. "[T]he dairy industry was tough" around 2000, and the farm "was struggling." The farm had just obtained a "good sized loan," and "we were looking for some [financial help] at that point" (R. 1999:121,125,213-15).

In July 2000, a cattle seller, Duane Benton,[2] told Young about "a guy," Paul Schwenke, "who was interested in meeting some dairy farmers to talk about some investment" (R.1999:124). Young met with Schwenke in Fillmore in late July. Schwenke introduced defendant, who was also at the meeting, as "the stock expert" (R.1999:125-27,301-03).

[2] Paul Schwenke identified the cattle seller as Duane Bitman (R.1999:302).

At the meeting, Schwenke "presented his plan, what, what he had in mind for, for financing." Schwenke wanted to finance the farm's property and explained that he "had a company called Americandairy.com." Schwenke "wanted to get . . . like 10-15,000 cows" and "basically . . . open a public company[;] he wanted to sell stocks in Americandairy.com and . . . that was where he was . . . going to get public financing" (R.1999:127). Schwenke told Young "he had about $10,000,000 worth of assets" to put into the venture, as well as doctors and lawyers and "other investors" who wanted to invest in the corporation (R.1999:132-33,155,165). Schwenke said "there was another dairy involved in Holden and he had hoped to get more" (R.1999:134). Schwenke then "had [defendant] explain a little bit about stocks, how they work and how this was going to, how this idea was going to work" (R.1999:128).

Following defendant's explanation, the meeting turned to the farm's financial situation. Schwenke "wanted to know how many cows we had" and "what kind of loans and stuff we had on the farm." Young told the group that "we weren't in real bad shape but we needed to get bigger." He explained, "[i]t's difficult to run a small dairy operation and we needed, we had enough facilities for 600 cows and we needed to fill them up to make the operation more efficient" (R.1999:130).

The next day, Young discussed Schwenke's plan with his father-in-law, Myers. Young and Myers decided to accept Schwenke's offer, and agreed to meet with him at a building in Salt Lake City, where defendant had his office (R.1999:134-36,307).

Both Young and Myers attended this second meeting in early August 2000 (R. 1999:138,163,215). They first met Schwenke and then proceeded to defendant's office (R. 1999:215-16). Defendant was again introduced, this time to Myers, as "a high-powered lawyer" and "a security expert" from New York who "basically put together . . . stock companies or securities companies" (R.1999:217). The parties "talked about trading [] the farm for shares in Americandairy.com" (R.1999:137). And Myers explained that they had "a substantial loan against the dairy with . . . Central Bank" and "there was no way" to complete the transaction "without the refinance of Central Bank" (R.1999:239-40).

Then, Myers, who "didn't understand stock at all," asked defendant to explain "how the process [of a company going public] works" (R.1999:218,309). Defendant told Myers that, "basically . . . you put together the, basically the, the stock company and then at some point you have . . . a public offering." According to defendant, "they could start this stock at approximately $8 . . . , but at minimum they could start it at about $4 a share" (R.1999:218, 231). When Myers asked whether he "could be involved in that public offering," defendant "said it would be highly unusual but it could happen" (R.1999:219).

Defendant then presented Young and Myers with a stock purchase agreement (R. 1999:137,220). Young and Myers stated "[t]here was some things we wanted changed"; in particular, they "wanted to have the ability to get the dairy back at some point if this thing didn't work out" (R.1999:220-21). After adding a provision allowing them to regain the farm if the corporation did not have a public offering within two years, Young and Myers met with defendant and Schwenke again on August 9, 2000 (R.1999:140,163,306).

At that meeting, defendant and Schwenke presented the revised stock purchase agreement, a warranty deed, and a proxy agreement for signatures (R.1999:222,312-13; St. Exh.1,5). "[T]rying to get financing for our farm," Young and Myers signed the agreement and transferred the farm's assets to Americandairy.com (R.1999:138-40,142,144-45,233).

In addition to the real estate of the farm, Young and Myers transferred the farm equipment, which conservatively had a replacement value of approximately $130,000 (R. 1999:150-51,236-38). Again, Myers knew "there was no way that we could perform [the transaction] without the refinance of Central Bank. . . . And that's the reason we signed the warranty deed. The warranty deed was supposed to have been used only to refinance the dairy and satisfy Central Bank period" (R.1999:239-40). Moreover, Young and Myers expected to get "financing, cattle, money for cattle" out of the deal. However, they never received any actual financing (R.1999:152).

Young signed the Stock Purchase Trade Agreement and deed on behalf of Dairy-King Farms. Defendant executed the Agreement as CEO of Americandairy.com. Then, as president of Americandairy.com, defendant executed one stock certificate transferring 150,000 shares to Myers and another certificate transferring 50,000 shares to Young (R.1999:141-42,144,223-26,234; St. Exh.1-3). At the time, no one else held shares in the corporation (R.1999:314). Schwenke then had Young sign a proxy to let Schwenke "run the business of Americandairy.com without a meeting of the board" (R.1999:227-28).

Before Young and Myers signed the documents, neither defendant nor Schwenke presented any additional "historical business information" about Americandairy.com or information about "the current or past financial situation" of the corporation (R.1999:225, 230). Nor did they provide a complete list of the principals in the corporation, or any information concerning the principals' financial background and history (R.1999:155,225). In addition, although defendant and Schwenke told Young and Myers there were "risks in any stock transaction," they never enumerated those risks (R.1999:145-46,230). Nor did they offer any additional information concerning either the $10 million Schwenke supposedly could contribute to the enterprise or the "possible market for the stock" (R.1999:155,230). And defendant never told Myers or Young that, during the period in which this transaction was presented and then executed, he "was subject to disciplinary proceedings before the Utah State Bar alleging misappropriation of client funds from an event which occurred in October of 1992," had three federal tax liens against his property for over $1,645,500.00, and had a Small Business Administration judgment against him (R.1999:244,266-67;St.Exh.7-9,12).

According to Young, he and Myers probably would have entered into the transaction with Schwenke even if defendant had not been involved. Still, defendant's position as an attorney with a specialty in securities law "lent a great deal of credibility" to how he and Schwenke presented it (R.1999:154,192).

Myers and Young never received any financing out of the August 9th transaction (R.1999:152,178,231). And, having transferred their deed to Americandairy.com, they "were no longer able to go to a bank to get financing" (R.1999:173). Within months of the transaction, Myers and Young lost their farm and farm equipment (R.1999:178,237).

SUMMARY OF ARGUMENT

Point I. Defendant claims the trial court erred in denying his various motions to dismiss because Myers' and Young's transfer of their farm to Americandairy.com for stock constituted merely a change in their form of ownership of their farm, not a sale of securities as required under the securities fraud statute. Defendant's claim fails because nothing in his or Schwenke's description of the August 9th transaction suggested that Myers and Young were merely changing their form of ownership of the farm. Moreover, even if the transaction did constitute merely a change in their form of ownership, the securities statutes explicitly define such transactions as sales of securities.

Point II. Defendant claims the trial court abused its discretion in letting the State's security expert opine concerning the purposes of Utah's securities laws and the disclosures necessary thereunder. Defendant's assertion that the expert gave impermissible legal conclusions is not supported by case law, where the expert never gave any legal opinion concerning whether defendant's conduct violated the law. In addition, defendant's contention that the expert misrepresented the law is not supported by the record. Finally, even if the expert did exceed permissible limits on expert testimony, defendant has not shown that he was prejudiced by that testimony where it was consistent with the law and the trial court properly instructed the jury both on the law and on the weight jurors should give expert testimony.

Point III. Defendant claims that the securities fraud statute, as applied in this case, was both unconstitutionally vague and unconstitutional as a violation of the separation of powers clause. Both of defendant's constitutional claims, however, rest on his allegation that the State misrepresented the law at trial. Thus, to prove his claims, defendant must show both that the State misrepresented the law at trial and that the trial court, by failing to correct those misrepresentations in its jury instructions, adopted the State's misrepresentations. Defendant has made neither showing here. Thus, his claim fails.

Point VI. Defendant claims that the trial court erred in denying the newly discovered evidence claim raised in his two motions for new trial. Because defendant did not present the newly discovered evidence in his first motion, his claim on appeal must go only to his second motion. But defendant never filed a timely notice of appeal from the trial court order denying his second motion. Thus, this Court lacks jurisdiction to reach defendant's claim.

Point V. Defendant challenges the trial court's post-judgment restitution order. However, defendant never filed a timely notice of appeal from the trial court's restitution order. Thus, this Court lacks jurisdiction to reach defendant's claim.

ARGUMENT

I.

WHERE THE VICTIMS CONVEYED THEIR DAIRY FARM AND EQUIPMENT TO AN OUTSIDE CORPORATION IN EXCHANGE FOR STOCK IN THE CORPORATION, THE TRIAL COURT PROPERLY RULED THAT THE TRANSFER CONSTITUTED A SALE OF SECURITIES UNDER UTAH LAW

Defendant claims that the trial court erred in denying his motions to dismiss the securities fraud charge under Utah Code Ann. § 61-1-1 (2000). *See* Aplt. Br. at 25-28. In doing so, defendant acknowledges that Myers and Young transferred their Dairy-King Farms to Americandairy.com in exchange for stock on August 9th. *See id.* at 26. Defendant claims, however, that because Myers and Young were the sole shareholders in Americandairy.com after the transfer, their "conversion from LLC to American Dairy was not a disposition for value [as required under section 61-1-1], but rather was [merely] a change in the form of ownership." *Id.* at 27. Thus, defendant argues, the trial court should have granted his motions to dismiss. Defendant's claim lacks merit.

A. Rules of statutory construction.

"'When interpreting statutes," this Court's "primary goal is to evince the true intent and purpose of the Legislature,'" and "the best evidence of legislative intent" is "'the plain language of the statute itself.'" *In re Z.C.*, 2007 UT 54, ¶ 6, 165 P.3d 1206 (citation omitted). Thus, this Court "assume[s] that each term in the statute was used advisedly." *Stephens v. Bonneville Travel, Inc.*, 935 P.2d 518, 520 (Utah 1997) (citations omitted). Moreover, statutory terms are "interpreted and applied according to [their] usually accepted meaning, where the ordinary meaning of the term[s] results in an application that is neither unreasonably confused, inoperable, nor in blatant contradiction of the express purpose of the statute." *State v. Coonce*, 2001 UT App 355, ¶ 9, 36 P.3d 533 (citations omitted).

With these rules as a backdrop, "[t]he primary purpose of the securities laws is to protect those who purchase securities," especially "'the inexperienced, confiding, and credulous investor.'" *State v. Dumke*, 901 S.W.2d 100, 102-03 (Mo. Ct. App. 1995) (citation omitted). "[S]ecurities laws[, therefore] are remedial in nature and should be broadly and liberally construed to give effect to the legislative purpose." *Payable Accounting Corp. v. McKinley*, 667 P.2d 15, 17-18 (Utah 1983); *see also Capital General Corp. v. Utah Dept. of*

Bus. Reg., 777 P.2d 494, 496 (Utah App. 1989) ("[I]t is appropriate to broadly construe the provisions of the [Utah's securities] Act to effectuate the legislative intention behind it."); *accord State v. Brewer*, 932 S.W.2d 1, 10 (Tenn. Ct. Crim. App. 1996); *Caldwell v. State*, 95 S.W.3d 563, 567 (Tex. Ct. App. 2002).

B. Relevant statutes.

Defendant was charged with securities fraud under Utah Code Ann. § 61-1-1 (2000). Under that statute, "[i]t is unlawful for any person, in connection with the offer, sale, or purchase of any security, directly or indirectly to:"

> (1) Employ any device, scheme, or artifice to defraud;
>
> (2) Make any untrue statement of a material fact or to omit to state a material fact necessary in order to make the statements made, in the light of the circumstances under which they were made, not misleading; or
>
> (3) Engage in any act, practice, or course of business which operates or would operate as a fraud or deceit upon any person.

Utah Code Ann. § 61-1-1. "'Sale' or 'sell' includes every contract for the sale of, contract to sell, or disposition of, a security or interest in a security for value." *Id.* § 61-1-13(22)(a) (2000). "For value" is not statutorily defined. *See id.* § 61-1-13. However, "[t]he issuance of a security under a merger, consolidation, reorganization, recapitalization, reclassification, or acquisition of assets shall constitute the offer or sale of the security . . . , unless the sole purpose of the transaction is to change the issuer's domicile." *Id.* § 61-1-13(22)(c)(vii).

C. The circumstances surrounding the August 9th transaction do not support defendant's claim that the transaction did not constitute a disposition of securities for value.

Nothing in the circumstances surrounding the August 9th transaction supports defendant's contention that the transaction constituted merely a change in the form of Myers' and Young's ownership of their farm, not a disposition of their farm for value.

Description of the Americandairy.com proposal. Neither Schwenke nor defendant ever portrayed the victims' transfer of their farm from their LLC to Americandairy.com as merely a change in the form of their ownership of the farm. To the contrary, from the beginning, defendant and Schwenke presented the transaction as "an investment" opportunity in which dairy farms would combine their resources into one corporation and thereby spur investment by outsiders. The idea, according to Schwenke," was "to get . . . like 10-15,000 cows" and "basically . . . open a public company[;] he wanted to sell stocks in Americandairy.com and . . . that was where he was . . . going to get public financing" (R.1999:124,127). According to Schwenke, "he had about $10,000,000 worth of assets . . . to put into this, as well as doctors and lawyers" and "other investors" who wanted to invest in the corporation (R.1999:132-33,155,165). In fact, "there was another dairy involved in Holden and he hoped to get more" (R.1999:134).

Thus, nothing in defendant's or Schwenke's description of their proposal suggested that the victims' transfer of their farm from their LLC to Americandairy.com would merely effect a change in the form of their ownership of the farm. Rather, the proposal was all about investment opportunities.

The Stock Purchase/Trade Agreement. The primary document executed on August 9th was the "Stock Purchase/Trade Agreement" (the Agreement). Both the Agreement's recitals and its substantive provisions indicate that the purpose of the contract was to sell Americandairy.com stock to the victims (St.Exh.1, attached at Addendum B).

After defining Americandairy.com as Seller and Milk-King Dairy as Purchaser and stating that Americandairy.com has "capital stock of 10,000,000 shares of .001 cents par value common stock," the recitals state that "the Purchaser desires to purchase said stock and the Seller desires to sell said stock" and that the Agreement is entered into "in order to consummate the purchase and the sale of the Corporation's Stock." Consistent with these recitals, the first substantive provision of the Agreement provides that, "at the closing of the transaction contemplated hereby, the Seller shall sell . . . to the Purchaser certificates representing such stock, and the Purchaser shall purchase from the Seller the Corporation's Stock in consideration of the purchase price set forth in this Agreement." The second provision defines the "amount and payment of purchase price," providing that "[t]he total consideration and method of payment thereof are fully set out in Exhibit 'A' attached hereto." Finally, Exhibit A of the Agreement defines "the 'Purchase Price'" the victims would pay for the stock in Americandairy.com they would receive (St.Exh.1).

None of these provisions support defendant's contention that the August 9th transaction was not a sale of securities for value. To the contrary, and consistent with Schwenke's original proposal, each reflects that the purpose of the Agreement was for the victims to transfer their farm to Americandairy.com and thereby purchase a partial ownership interest—as represented by the 200,000 shares of stock—in Americandairy.com.

Defendant's contention. Notwithstanding the foregoing, defendant argues the August 9th transaction was not a sale of securities for value. In doing so, defendant focuses on evidence that, when the Agreement was signed, Myers and Young were "the only shareholders of American Dairy." Aplt. Br. at 27. Thus, defendant asserts, the Agreement "operated only to change the form of ownership of the dairy and equipment from the LLC to American Dairy, both of which were wholly owned by Myers and Young." *Id.* at 27-28.

In support of his claim, defendant cites *Capital General Corp. v. Utah Dept .of Bus. Reg.*, 777 P.2d 494 (Utah App. 1989), and *Premier Van Schaack Realty, Inc. v. Seig*, 2002 UT App 173, 51 P.3d 24. *See* Aplt. Br. at 26-28. Neither case supports his claim.

In *Capital General*, Capital General Corp. (CGC) was charged with the unlawful distribution of stock without registration. CGC had purchased 1,000,000 shares of a company for $2000. 777 P.2d at 495. At the time, CGC's shares were the only shares issued by the company; moreover, the company "had no actual business function at this time and its sole asset was the $2000 CGC had paid for the 1,000,000 shares." *Id.* CGC then distributed a portion of the shares "to approximately 900 of its clients . . . and other contacts," supposedly "to create and maintain goodwill" with those people. *Id.* at 495. It was "undisputed that CGC did not receive any monetary or other direct financial consideration from those receiving the stock." *Id.*

On appeal, CGC argued that its distribution of the shares did not constitute an "offer or sale" of the company's stock, i.e., a "disposition of . . . a security for value" under the Utah Uniform Securities Act. *See id.* at 496-97. In holding that it did, this Court rejected CGC's argument that "the concept 'for value' mandates a direct exchange of economic considerations between the transferor and transferee in order for the transaction to qualify as an 'offer or sale' under [the Act]." *Id.* at 497. "[V]alue," this Court held, is not limited to "monetary benefit," but, rather, "can include enhanced abilities to borrow, raise capital, and other general benefits associated with publicly held companies." *Id.* And such "economic benefits render the disposition 'for value' . . . , even though those benefits flow[] indirectly from the marketplace rather than directly from the transferees." *Id.*

Defendant appears to argue that *Capital General* does not support a finding of "for value" in this case because Myers and Young "were at all times the only shareholders of American Dairy." Apt. Br. at 27. But defendant fails to explain why Myers' and Young's shareholder status rendered the exchange of their farm to Americandairy.com for stock not "for value" under *Capital General*. According to the evidence, Myers and Young were "at all times" the sole shareholders in the corporation only because the proposal Schwenke presented to them—which envisioned other dairy farmers joining the venture and becoming shareholders—never bore fruit. Defendant cites no case law holding that the first people to purchase stock in a new venture have not purchased stock "for value" merely because, at that point, they are the sole shareholders in the venture.

Alternatively, defendant asserts there was no "value" under *Capital General* because "both the dairy and equipment allegedly given to American Dairy were in fact so encumbered as to be valueless." Aplt. Br. at 27. However, to make his case, defendant relies on evidence not presented at trial. *See id.* (citing evidence produced at post-trial restitution hearing). Moreover, as *Capital General* held, "value" is not limited to "monetary benefit" flowing "directly from the transferees." *Capital General*, 777 P.2d at 497. Rather, "economic value," including "enhanced abilities to borrow, raise capital, and other general benefits" resulting from the corporation's new assets "render[ed] the disposition 'for value' . . . , even though those benefits flow[] indirectly from the marketplace." *Id.*

Finally, according to defendant, the August 9th stock transfer was not "for value" even under this latter category because "American Dairy was not a public company and there were no other shareholders who stood to profit from the distribution of shares to Myers and Young through either cash considerations or the creation of a market." Aplt. Br. at 26-27. Before transferring stock to Myers and Young, however, Americandairy.com had no assets and "engaged in no apparent business operations." *Capital General*, 777 P.2d at 497. By inducing Myers and Young to convey their farm to the company, Americandairy.com now had assets to its name, thereby increasing both the marketability of the corporation to other dairy farmers as an investment option and the possibility of monetary benefit to the corporation's promoters from other investors.

In sum, *Capital General* does not support defendant's claim that the stock transfer here was not a disposition of securities "for value."

Neither does *Premier Van Schaack Realty*. In that case, Premier Van Schaak Realty (Premier) sought to enforce a brokerage fee payment provision in a real estate listing agreement involving one of Seig's properties. 2002 UT App 173, ¶ 1. Under the agreement, Seig agreed to pay Premier a brokerage fee if, during the listing period, anyone "'locate[d] a party who is ready, willing and able to buy, sell or exchange . . . the Property, or any part thereof, at the listing price . . . or any other price or terms to which [Seig] may agree . . . .'" *Id.* at ¶ 2. During the listing period, Seig formed a limited liability company (LLC) with three other individuals, and conveyed his property to the LLC for a 40% interest in the LLC and other benefits. *Id.* at ¶ 4. Upon learning of the transaction, Premier demanded its commission under the listing agreement. *Id.* at ¶ 6. The trial court rejected Premier's claim, ruling that the transaction between Seig and the LLC "was not a sale or exchange pursuant to the Agreement because it lacked consideration." *Id.*

On appeal, Premier argued that Seig's transfer of his property to the LLC was a "sale or exchange" under the listing agreement because "Sieg received consideration from [the LLC]," including "a 40% interest in [the LLC]." *Id.* at ¶ 10. This Court rejected Premier's claim. In so doing, this Court distinguished between the sale of real estate—in which "once a person sells property, appreciation, depreciation, or total loss of the property is of no concern since the sale severs the seller from any interest in the property"—and the conveyance of real estate to a business entity in exchange for an interest in that entity—in which the conveyor "undertakes the risks of an investor" and "assumes the risk that the value of investment will increase or decrease over time, or that the investment may be completely lost." *Id.* at ¶ 13. According to this Court, because Seig's transfer of his property to the LLC required him to assume the risks of an investor, the transfer did not constitute a sale of real estate under the listing agreement, and thus, Seig did not have to pay Premier any commission on the transfer. *Id.*

Defendant argues *Premier* supports his contention that "Myers' and Young's conversion [of their farm] from LLC to American Dairy was not a disposition for value, but rather was a change in the form of ownership." Aplt. Br. at 26-27. But, as defendant notes, *Premier* did not address the meaning of "for value" in the securities context; rather, it "considered whether a 'sale' or 'exchange' of real property occurred to trigger a contractual commission provision." *Id.* at 26. Thus, *Premier* provides no authoritative insight as to what constitutes "disposition of . . . a security for value" under Utah's securities laws.

Moreover, to the extent *Premier* speaks to that issue at all, it undermines defendant's contention, rather than supports it. The very reason this Court held that no sale of real estate occurred in *Premier* was because Seig's transfer of his property to an LLC was *an investment* of real estate—presumably governed by securities laws—*not a sale* of real estate—governed by contracts law applicable to real estate listing agreements. *See Premier Van Schaak Realty*, 2002 UT App 173, ¶¶ 8-13.

In sum, neither the facts of this case nor the case law cited by defendant supports his contention that the August 9th transaction was not a disposition of securities for value.

D. The securities fraud statute does not support defendant's claim that the August 9th transaction did not constitute a disposition of securities for value.

Even if the August 9th transaction merely changed the form of Myers' and Young's ownership of their farm, it still constituted a disposition of securities for value under Utah 's securities laws.

In asserting that the transaction did not fall within the reach of Section 61-1-1, defendant notes that "Section 61-1-1 limits its application to conduct occurring 'in connection with the offer, sale, or purchase of any security.'" Aplt. Br. at 25 (quoting Utah Code Ann. § 61-1-1). Defendant also notes that "'sale'" is defined to "'include[] every contract for sale of, contract to sell, or disposition of, a security or interest in a security *for value*'" and "'offer'" is defined to "'include[] every attempt or offer to dispose of, or solicitation of an offer to buy, a security or interest in a security *for value*.'" *Id.* (quoting Utah Code Ann. § 61-1-13(22)(a), (b)) (emphasis in original).[3]

Defendant ignores section 61-1-13(22)(c), which gives "examples of the definitions [of 'sale' and 'offer'] in Subsections 22(a) and (b)." Utah Code Ann. § 61-1-13(22)(c) (2000). Specifically, defendant ignores section 61-1-13(22)(c)(vii), which expressly provides that "the issuance of a security under a merger, consolidation, reorganization, recapitalization, reclassification, or acquisition of assets shall constitute the offer or sale of

[3] Although defendant's citation is actually to Utah Code Ann. § 61-1-13(1)(v)(i), *see* Aplt. Br. at 25-26, that statutory reference appears to be a typographical error, since section 61-1-13(1) defines "affiliate" and has no subsection (v)(i).

the security issued . . . , unless the sole purpose of the transaction is to change the issuer's domicile." *Id.* § 61-1-13(22)(c)(vii).

Under the plain language of section 61-1-13(22)(c)(vii), even securities transactions that merely change the form of ownership of one's assets from an LLC to a corporation fall within the reach of section 61-1-1, "unless the sole purpose of the transaction is to change the issuer's domicile." *Id.* In this case, nothing in the evidence suggested that the August 9th transaction occurred solely "to change the issuer's domicile. *Id.* Thus, under section 61-1-13(22)(c)(vii), the August 9th transaction fell within the reach of section 61-1-1, even if it merely changed the form of Myers' and Young's ownership of their farm.

Consequently, the trial court did not err in denying defendant's motions to dismiss.

II.

THE TRIAL COURT DID NOT ABUSE ITS DISCRETION IN LETTING THE STATE'S EXPERT OPINE ON THE GENERAL REACH OF UTAH'S SECURITIES LAWS AND THE DISCLOSURES NECESSARY THEREUNDER, WHERE THE STATE'S EXPERT NEVER OFFERED AN OPINION ON DEFENDANT'S GUILT

Defendant claims that the trial court abused its discretion when it allowed the State's securities expert to offer legal conclusions concerning what constitutes a violation of the securities fraud statute under which defendant was charged. *See* Aplt. Br. at 28-42. According to defendant, the expert's testimony "should have been excluded . . . because it was riddled with impermissible legal conclusions" and "incorrect interpretation[s]" of the law. *Id.* at 29, 31. And, defendant contends, admitting the expert's testimony, "coupled with the trial court's refusal to provide [defendant's] curative instruction, greatly and unduly prejudiced [him]." *Id.* at 42. Defendant's claim fails.

A. Governing law.

At the time of defendant's trial, rule 702 provided that, "[i]f scientific, technical, or other specialized knowledge will assist the trier of fact to understand the evidence or to determine a fact in issue, a witness qualified as an expert . . . may testify thereto in the form of an opinion or otherwise." Utah R. Evid. 702.[4] Rule 704 provides that "testimony in the form of an opinion or inference otherwise admissible is not objectionable because it embraces an ultimate issue to be decided by the trier of fact." Utah R. Evid. 704(a).

Under these rules, expert "opinions that 'tell the jury what result to reach' or 'give legal conclusions' [are] impermissible." *State v. Davis*, 2007 UT App 13, ¶ 15, 155 P.3d 909. Ssuch testimony "'tend[s] to blur the separate and distinct responsibilities of the judge, jury, and witness.'" *Id.* (citation omitted). Moreover, "there is 'a danger that a juror may turn to the [witness's legal conclusion] rather than the judge for guidance on the applicable law.'" *Id.* (citation omitted).

Notwithstanding this limitation, a trial court "'has wide discretion in determining the admissibility of expert testimony.'" *State v. Stringham*, 957 P.2d 602, 607 (Utah App. 1998) (citation omitted). And "[n]o 'bright line' separates permissible ultimate issue testimony under rule 704 and impermissible 'overbroad legal responses' a witness may give during questioning." *Davis*, 2007 UT App 13, ¶ 16.

[4] Rule 702 was amended effective November 1, 2007, but the amendments do not apply here and therefore do not affect the analysis in this case.

Thus, "expert testimony may be appropriate in 'securities fraud cases because the technical nature of securities is not within the knowledge of the average layman or a subject within the common experience and would help the jury understand the issues before them.'" *State v. Larsen* (*Larsen II*), 865 P.2d 1355, 1361-62 (Utah 1993)) (holding trial court did not abuse discretion by allowing expert to testify as to materiality of omitted information in securities fraud case, even though "materiality" was "ultimate issue" jury had to decide). Such testimony may include the meaning or reach of legal terms if it "aid[s] the jury in resolving the factual disputes" at hand. *Id.* at 1361 n.11. Indeed, such testimony may be particularly helpful "where the subject matter is not one of common observation or knowledge, or in other words, where witnesses because of particular knowledge are competent to reach an intelligent conclusion and inexperienced persons are likely to prove incapable of forming a correct judgment without skilled assistance." *Patey v. Lainhart*, 1999 UT 31, ¶ 22, 977 P.2d 1193 (upholding admission of expert testimony as to what caused injury in negligence case); *cf. United States v. Dazey*, 403 F.3d 1147, 1171-72 (10th Cir. 2005) (testimony that embraces ultimate issue of guilty "is permissible as long as the expert's testimony assists, rather than supplants, the jury's judgment"); *United States v. Bilzerian*, 926 F.2d 1285, 1294 (2d Cir. 1991) (no error in allowing expert testimony giving "general background on federal securities regulation and the filing requirements [under a government] Schedule").

Consequently, a "semantic characterization of [an expert's] testimony as a legal conclusion does not, without more, move the testimony outside the scope of [rule 704, the] ultimate-issue rule." *Larsen II*, 865 P.2d at 1363. Rather, the deciding factor in determining whether expert testimony transgresses the permissible line in Utah appears to be whether the expert expressly opines that the defendant is guilty of the crime charged.

In *Larsen II*, therefore, the supreme court found no error in the trial court letting an expert opine "that some of the material Larson had omitted from the securities documents could have been important or significant to an investor," where the expert "did not, as Larsen suggests, testify that Larsen was guilty, nor did [the expert] testify that, as a matter of law, the facts satisfied the legal standard of materiality." *Larsen II*, 865 P.2d at 1361 & n.10. Similarly, in *State v. Harry*, 873 P.2d 1149, 1154-55 & n.9 (Utah App. 1994), this Court upheld the admission of "expert testimony concerning the materiality of certain misrepresentations and omissions Harry allegedly made or failed to make." The *Harry* court also held that the expert's testimony "that selling away is illegal" was not improper where the "expert did not testify that Harry actually sold away from [his firm]," but instead, "[t]hat factual determination was left to the jury." *Id.*, 873 P.2d at 1154 n.9.

Conversely, in *State v. Tenney*, 913 P.2d 750, 756 (Utah App. 1996) (citation omitted), this Court found error because the expert's testimony "clearly state[d] legal conclusions [regarding guilt] because the witnesses tie[d] their opinions to the requirements of Utah law." *See also Davis*, 2007 UT App 13, ¶¶ 14-22 (in illegal possession of firearms case, expert's opinion regarding what constitutes "possession" under charging statute and concluding that Davis's conduct constituted "possession" under the statute was impermissible because expert "'applied the facts of the case to the prohibition[s] in the statute, result[ing] in the rendering of a legal conclusion [that Davis had committed the crime alleged].'") (citations omitted).

Finally, even if an expert's testimony does include impermissible legal conclusions, defendant must still show that the expert's testimony was prejudicial. *See Larsen II*, 865 P.2d at 1363. Such testimony is not prejudicial where it "matche[s] the [law] set forth in the jury instruction[s]." *State v. LaCount*, 732 N.W.2d 29, 35-36 (Wis. Ct. App. 2007) (no error in allowing expert testimony where expert's "description of investment contracts matched the definition set forth in the jury instruction"), *aff'd*, 750 N.W.2d 780 (Wis. 2008), *cert. denied*, 129 S.Ct. 631(2008); *see also People v. Prendergast*, 87 P.3d 175, 183 (Colo. Ct. App. 2003); *People v. Lurie*, 673 N.Y.S.2d 60, 63 (App. Div. 1998). Nor is it prejudicial where the trial court "correctly admonishe[s] the jury as to the relative roles of expert testimony and opinion evidence," "instruct[s] the jury to accord no unusual deference to an expert's opinions," and gives "careful instructions regarding the legal definition[s] and requirements of the term[s] . . . as used in the [governing] statute." *Larsen II*, 865 P.2d at 1363; *see also Lurie*, 673 N.Y.S.2d at 63.

B. Proceedings below.

Before opening statements, the trial court twice instructed the jury that the court "will instruct you on the law that you must follow and apply in deciding your verdict" (R.1999:7,10).

Michael Hines, the Director of Enforcement for the Utah Division of Securities, was then called as the State's securities expert (R.1999:38-39). The State began by asking Hines to identify the purposes of securities regulation. After the trial court overruled defendant's relevance objection, Hines answered that the two main purpose of securities law were "to protect investors" and "to guard against fraud." Hines explained that "in the area of securities . . . , it is a seller beware market. . . . In other words, the seller has to make sure that they disclose all material facts to the person that's purchasing that, that [security]." When defendant objected to Hines's characterization as a "misstatement of law," the trial court stated, "I've qualified him as an expert. That's his opinion. You can cross-examine him on that" (R.1999:49-52).

Hines then explained that securities laws are "trigger[ed]" when "a person is either directly or indirectly in connection with the offer or sale of a security" (R.1999:52). And Hines stated that "[t]here are two ways that we normally see that the security statute can be violated": "misrepresentation of material facts or the omission of material fact in light of circumstances under which a statement is made not misleading. That's one. And the second is basically a course of conduct that will operate as a fraud against others" (R.1999:53).

Hines next opined as to some of the "important facts that would have to be disclosed in all circumstances" in connection with the sale of securities. Hines testified "the general test is is it an important fact that a purchaser of normal prudence would want to know before they make their decision." Such facts would "certainly" include "financial statements of the entity . . . , the history of any of the control people[,] whether they have been civilly sued, whether they've had administrative actions, bankruptcies and things like that." Other important facts include "[c]ompetition in the market, conflict[s] of interest," and "risk factors" involving the security (R.1999:55-56).

When defendant objected that "61-1-1 does not require that you disclose all of these things, it just says if you make a disclosure it has to be accurate," the State responded, "[i]t also speaks to [] omissions." The trial court overruled defendant's objection. Hines then identified "important risk factors" that should be disclosed, including "the business success of the control persons of the company, . . . how capitalized or how much money they have to work with . . . , how many people are you selling this to and how many people have a piece of this for their money." Hines noted that "all of the disclosure" also "goes to" half-truths, where "[t]he statute says that you have to disclose all material facts in light of circumstances under which a statement is made, not misleading." After the court overruled defendant's objection that Hines' testimony "[m]isstates the law," Hines clarified that the half-truth issue "is only triggered by some predicate statement that's made" (R.1999:56-58).

When Hines explained that the duty to disclose applied to people both directly and indirectly offering securities, defendant asked that Hines' response be stricken because "that . . . goes to the jury instructions." Instead, the court instructed the jury "that at some point in this trial the court is going to give you instructions with respect to a, issues of law that you, that will govern your deliberations" (R.1999:61).

When asked whether there were "any other important significant factors" that should be disclosed, Hines responded, "I don't think it's possible to specifically list all the circumstances that would need to be disclosed. Again, the test is does a reasonable prudent investor, is that a fact that they would want to know" (R.1999:62).

On cross-examination, defendant asked Hines to discuss the elements of the securities fraud statute. In connection with his questions, defendant used "a chart that is large" that had "the statute on it" (R.1999:65-66). Defendant then led Hines through the statute, questioning Hines as to how he analyzed transactions to determine whether a violation of the statute had occurred. In particular, defendant questioned Hines concerning how he analyzed transactions under the "misleading" part of the statute, oftentimes posing hypotheticals to Hines to elicit when an omitted statement did and did not render a prior statement misleading (R.1999:68-83). Partially through Hines' cross-examination, the prosecutor noted that defendant had been asking "for a long time" about legal conclusions despite defendant's prior objections to such conclusions earlier in the trial (R.1999:81).

After then briefly questioning Hines on the statutory definition of "sale," especially that portion requiring disposition of a security "for value," defendant returned to the securities fraud statute, questioned Hines on the requirement that disclosures or omissions be "material," and confirmed that "material" is "what a reasonable investor would think was important" (R.1999:84-89). Defendant again questioned Hines concerning the steps he took to analyze a transaction under section 61-1-1 (R.1999:90-92,105-08).

Defendant confirmed with Hines that had any of the elements of the statute not been met, Hines "wouldn't feel too good about prosecuting" (R.1999:93-94). Defendant then asked if "it [was] fair to say that you've rarely testified that somebody wasn't guilty once you got on the stand" and whether "there [had] ever been a time . . . when you testified that any criminal defendant in any case you've been involved in was not guilty?" The court sustained the prosecutor's objections, noting that Hines "would never instruct the jury to find a person guilty or not guilty. That would be an improper use of an expert witness" (R.1999:96). Defendant then asked Hines whether, "if you determine that any of these elements [of section 61-1-1] are not, are not met would you recommend . . . that this case be dismissed." Hines replied, "I have done that before" (R.1999:98).

Over the State's objection, defendant then repeatedly questioned Hines on what disclosures he, as president of Americandairy.com, was required to make under section 61-1-1. When Hines set out what he believed was the test, defendant objected. The court overruled the objection, stating, "Well, you asked the question. He answered it" (R.1999:104).

On re-direct, the State asked Hines again to address whether the "financial exposure of officers" was required under section 61-1-1. Hines responded, "It is my opinion that financial disclosure or the financial background and their business background of officers of a, of a company that you're buying stock in is important because I think the prudent investor would want to know how successful they had been at previous business ventures before they buy stock in that company. Also if they're subjected to any lawsuits, . . . it may affect their ability for the new company to survive" (R.1999:114).

In his case-in-chief, defendant called Nathan Whitney Dredge, a published corporate and securities attorney, as his securities expert (R.1999:372,375,380). Dredge testified that although he agreed with "much of" Hines's testimony, "I departed on some points." Dredge explained that "I depart" when it comes to "what one considers in terms of materiality and, and that's where I go to the supreme court language that it is a totality of the circumstances, it is the economic reality of the transaction" that "affect[s] the definition of a security, definition of offer and sale and a, what is material and what is not material" (R.1999:395-97).

Then, defendant, as he had done with Hines, walked Dredge through the language of the securities fraud statute. In the process, Dredge opined that no security was involved in this case because "this transaction is simply a change in the form of business ownership for Mr. Young and Myers" and, therefore, did not involve a security based on "what was the intent of [securities] statutes and . . . what the [S]upreme [C]ourt has said" (R.1999:398,401). Thus, although "[t]echnically it is an offer and sale and technically it is a security," it was not a security under the securities fraud statute "[b]ecause it's not the type of transaction that the . . . legislatures want to govern" (R.1999:402-03).

Dredge further testified that, although he had sometimes acted as "the initial officer or director [of a corporation] for a day" in order to complete a corporate securities transaction, he did not have to "give a whole bunch of disclosures" when he did so (R.1999:401,403). According to Dredge, although an officer may have an affirmative duty to disclose "a bunch of stuff" "[in] some occasions," that duty does not exist "in all occasions" (R.1999:418).

In further explaining why the transaction was not the type covered by section 61-1-1, Dredge again referenced the Supreme Court's "economic reality" test. Dredge repeated that because Myers and Young merely changed the form of ownership of their farm and did not relinquish control of their farm, no securities transaction took place (R.1999:406-07). In this context, Dredge opined, defendant's introduction to Myers and Young as an "attorney" or "president" of the corporation was not material, nor was whether defendant "had some sort of expertise," "had worked on Wall Street," or had an "ongoing [bar] disciplinary action" (R.1999:424-26).

On cross-examination, Dredge testified that defendant's disclosures to Myers and Young were "adequate" (R.1999:455). The State then asked Dredge whether he was familiar with a Supreme Court case not yet referenced by him concerning the definition of stock. Although Dredge did not "recall the facts of the case," he was "familiar with . . . language used by the [S]upreme [C]ourt" that when "an instrument is labeled stock it possesses all of the traditional characteristics, a court is not required to look at the economic substance of the transaction." When defendant objected to the State's representation of the holding in the case, the court overruled defendant's objection (R.1999:456-58).

On re-direct, defendant and Dredge clarified the meaning of the Supreme Court case the State had cited (R.1999:470,473). Under any definition provided by the Supreme Court, Dredge concluded, the transaction here did not involve the sale or purchase of a security as contemplated by the securities fraud statute (R.1999:473-74).

At the close of evidence, the trial court instructed the jury as follows:

> You are to be governed in your deliberations solely by the evidence introduced in this trial and the law *as stated to you by me.*

(R. 1428; Instr. 1) (emphasis added).

> A person who, by education, study, and experience has become an expert . . . may give his or her opinion as to any such matter in which he or she is versed and which is material to the case. You should consider such expert opinion and should weigh the reasons, if any, given for it. You are not bound, however, by such an opinion.
>
> *If an expert has expressed an opinion of the law which is in conflict with these instructions, you are to disregard the opinion of the expert witness.*

(R. 1436; Instr. 8) (emphasis added).

In addition, Instruction 15 set out the elements of the crime with which defendant had been charged, and Instruction 17 set out definitions of material terms included within those elements (R. 1444, 1446; Instr. 15, 17).

C. Expert testimony that does not specifically comment on the facts of the case but only addresses what types of transactions are generally covered by securities laws and what general requirements those laws impose does not constitute impermissible testimony.

Defendant attacks Hines's testimony on three grounds. First, he asserts Hines's testimony "was riddled with impermissible legal conclusions" and "opinion[s] on the governing law." Aplt. Br. at 29. Second, defendant argues "[t]he impermissibility of Mr. Hines' testimony is magnified by the incorrect interpretation he gave to the law in question." *Id.* at 31. Finally, defendant contends that Hines' testimony was prejudicial. See *id.* at 39.

1. Inadmissible legal conclusions.

Defendant's fundamental contention is that Hines's testimony contained legal conclusions concerning Utah securities law and "[a]n expert witness is not allowed to provide purely legal conclusions." Aplt. Br. at 28 (bolding and capitalization omitted).

However, as stated, expert testimony "may be appropriate in 'securities fraud cases because the technical nature of securities is not within the knowledge of the average layman.'" *Larsen II*, 865 P.2d at 1361-62 (citation omitted). Moreover, expert testimony may include legal conclusions "'where the subject matter is not one of common observation or knowledge, or . . . where witnesses because of particular knowledge are competent to reach an intelligent conclusion and inexperienced persons are likely to prove incapable of forming a correct judgment without skilled assistance." *Patey*, 1999 UT 31, ¶ 22; *see also Larsen II*, 865 P.2d at 1361 & n.11; *Dazey*, 403 F.3d at 1171-72; *Bilzerian*, 926 F.2d at 1294.

In this case, Hines's direct testimony included no impermissible legal conclusions under this standard. As defendant notes, Hines did testify on the purposes of securities laws and the disclosures generally required under them. *See* Aplt. Br. at 29-30. However, at no time during direct examination was Hines asked whether defendant's conduct in this case met those disclosure requirements and at no time did Hines sua sponte offer an opinion on that question. *See* R.1999:38-61.

Consequently, nothing in Hines's testimony on direct examination was impermissible. *See Larsen II*, 865 P.2d at 1361-62 (rejecting claim that expert's testimony "as to the 'materiality' of information Larsen allegedly had omitted from securities-related documents" constituted improper "'legal conclusion' that Larsen's omissions violated [the securities fraud statute]" where "materiality, as it relates to the importance of the omitted information, was an 'ultimate issue'" upon which expert testimony may be admitted); *see also Prendergast*, 87 P.3d at 183; *LaCount*, 732 N.W.2d at 35-36; *Dazey*, 403 F.3d at 1171-72; *Bilzerian*, 926 F.2d at 1294.

2. Incorrect legal conclusions.

Alternatively, defendant challenges Hines's testimony as containing two assertions of law that are inconsistent with the plain language of section 61-1-1(2). *See* Aplt. Br. at 31-37. As stated, section 61-1-1(2) prohibits any person, in connection with the sale or offer of securities, to "[m]ake any untrue statement of a material fact or to omit to state a material fact necessary in order to make the statements made, in light of the circumstances under which they are made, not misleading." Utah Code Ann. § 61-1-1(2).

a. General disclosures required under section 61-1-1(2).

Defendant claims that Hines "insisten[tly]" testified that, under section 61-1-1(2), "the important facts that would have to be disclosed in all circumstances are numerous. But the general test is is it an important fact that a purchaser of normal prudence would want to know before they make their decision.'" Aplt. Br. at 32, 34 (citing R. 1999:55-57). According to defendant, Hines misstates the law because section 61-1-1(2) "is not a general disclosure statute requiring individuals involved in a securities transaction to disclose everything a reasonable investor might want to know," but rather "requires only that if a statement is made, it is unlawful to omit a material fact necessary to make that [] statement not misleading, in light of the circumstances in which the predicate statement is made. " *Id.*

But when first asked how the securities fraud statute could be violated, Hines testified that one way was when there "is the misrepresentation of material facts *or the omission of material fact in light of circumstances under which a statement is made not misleading*"

(R.1999:53) (emphasis added). Thus, at the very beginning of his testimony, Hines accurately described the law defendant claims he misrepresented.

Moreover, when Hines testified that the general test as to whether a fact is "important" is whether it is a fact "that a purchaser of normal prudence would want to know before they make their decision," defendant objected that "61-1-1 does not require that you disclose all of these things." Hines countered that the statute "says that you have to disclose all material facts in light of circumstances under which a statement is made, not misleading." In other words, Hines explained, "[i]f there's a rest of the story to be told you need to tell that so an investor can make [an] intelligent decision. *That is only triggered by some predicate statement that's made though*" (R.1999:58) (emphasis added). Thus, "[y]ou take the total mix of all facts and what should have been important under those set of circumstances" (R.1999:58-59). Again, therefore, Hines acknowledged that the extent to which material disclosures are necessary depends on what prior statements were made.

Finally, on cross-examination, defendant revisited Hines's testimony concerning "an omission and . . . a half-truth" (R.1999:67). Hines reiterated that, for the omissions provision to apply, "[t]here has to be some as I call it a predicate statement," "[y]ou have to say something to trigger it" (R.1999:69). And, when defendant walked Hines through the analysis the jury would have to conduct in determining whether section 61-1-1(2) was violated, Hines again confirmed that, under the omissions part of the statute, the "question is is there an important fact that was not told that the ordinary prudent investor would have wanted to know to make that statement not misleading"; "[t]he omission of a material fact has to be in light of circumstances under which a statement is made by anyone that if left alone is misleading" (R.1999:73-74). In other words, Hines agreed, "this statute . . . doesn't say you've got to disclose a whole bunch of stuff, it just says if you disclose something it dang well better be true" (R.199:79-80).

In sum, Hines's testimony on both direct examination and cross was consistent both with the plain language of section 61-1-1(2) and defendant's own interpretation of that section. *See* Utah Code Ann. § 61-1-1(2); Aplt. Br. at 32-34. Consequently, defendant's claim that Hines's testimony misstates the law under section 61-1-1(2) fails.

b. Specific disclosures required of "controlled persons."

Defendant also challenges Hines's contention that section 61-1-1(2) imposes greater disclosure requirements on "officers, presidents or other so-called 'control persons'" than it does on other people. Aplt. Br. at 34. According to defendant, this testimony misstates the law because "there is no greater or lesser duty of disclosure upon an officer than there is upon any other seller *or purchaser* of securities under the statute." *Id.* (emphasis in original).

Hines's testimony, however, is supported by the law. In *Securities and Exchange Comm'n v. Merchant Capital, LLC*, 483 F.3d 747, 750 (11th Cir. 2007), two people—Wyer and Beasley—formed Merchant "to participate in the business of buying, collecting, and reselling charged-off consumer debt from financial institutions." Neither individual had experience in that industry. *Id.* at 751. Wyer, whose "most recent business was conducting direct marketing for financial institutions," "had declared personal bankruptcy because that business defaulted on certain obligations that he had personally guaranteed." *Id.* To raise money for their new venture, Wyer and Beasley sold interests in limited liability partnerships over which Merchant served as managing general partner. *Id.* at 752-53. However, in selling those securities, Wyer failed to disclose his prior personal bankruptcy. *Id.* at 770. The appellate court held that, "under the facts in the record, a reasonable investor *would* have been interested in Wyer's previous personal bankruptcy, and that it was thus materially misleading to omit the information," where "Wyer . . . put his experience in issue by touting, in great detail, Wyer's business experience." *Id.* at 770.

In *Suez Equity Investors, L.P. v. Toronto-Dominion Bank*, 250 F.3d 87, 94 (2d Cir. 2001), defendants sought investors from Suez Equity in a venture in which a man named Mallick was the venture's "founder, principal executive, and controlling shareholder." However, in promoting the investments, defendants provided Suez-Equity with a modified report on the venture's principals, which "omitted negative events in Mallick's business and financial history," including "three tax liens against Mallick personally" and "several civil lawsuits that had been decided against Mallick." *Id.* On appeal, the court held that those "misrepresentations . . . led plaintiffs to appraise the value of [the venture's] securities incorrectly by assuming the competency of Mallick, the [venture's] principal." *Id.* at 96.

Both of these courts' holdings are consistent with the plain language of section 61-1-1(2). As stated, that section prohibits any person, in connection with the sale or offer of securities, to "[m]ake any untrue statement of a material fact or to omit to state a material fact necessary in order to make the statements made, in light of the circumstances under which they are made, not misleading." Utah Code Ann. § 61-1-1(2). A person's position as

CEO and president of the venture involved constitutes one "of the circumstances under which [statements] are made." *Id.* Under the plain language of section 61-1-1(2), therefore, that circumstance necessarily affects what disclosures must be made regarding that person to ensure that "statements made [by or about him] are not misleading." *Id.*

Consequently, defendant's claim that Hines's testimony misstates the law concerning officers and other control persons also fails.

D. Defendant's challenge to Hines's testimony also fails because he was not prejudiced by that testimony.

Defendant's challenge to Hines's testimony also fails for lack of prejudice. According to defendant, "the prejudice caused by [Hines's] testimony was great" because Hines was the Director of Enforcement for the Utah Division of Securities, and "[c]ertainly the jury would give special attention to the Director's opinion as to what the law requires and what conduct violates the law, even if it's the wrong one." Aplt. Br. at 39. "This is particularly true," defendant contends, "where the trial court failed to correct the errors" and "the State did not focus either its presentation or summation of evidence on predicate statements rendered misleading by an omission." *Id.*

As discussed, however, defendant has not shown that Hines's testimony concerning Utah securities law was either improper or inaccurate. A defendant is not prejudiced by an expert's testimony if the expert "accurately stated the law." *Lurie*, 673 N.Y.S.2d at 63; *see also Pendergast*, 87 P.3d at 183.

Moreover, contrary to defendant's claim, the State *did* address the predicate statements on which defendant's charge was based. In his opening statement, the prosecutor described the case against defendant as one in which "important information . . . was shoved off to the side, and was painted in a light which didn't give the true and complete picture of what really is going on here" (R.1999:17). Then, in closing argument, the prosecutor identified at least two material statements on which defendant's charge was based: that defendant was "a stock expert" and that defendant stated the stock "is going to $4 to $8." The prosecutor then added that defendant "makes all kinds of materiality facts," but "I'm not going to insult your, your intelligence. You have heard the evidence here" (R.1999:527-28). "So yes, you bet ya, you've got statements of material fact." And, the prosecutor continued, "[o]missions, omissions. You've got evidence, verbal evidence, testimonial evidence" (R.1999:529-30). Thus, contrary to defendant's contention, the State did "focus . . . its presentation [and] summation of the evidence on predicate statements rendered misleading by an omission." Aplt. Br. at 39.

Third, to the extent defendant disagreed with Hines's opinions concerning the law, defendant was able to and did present his own expert—a securities attorney—to challenge Hines's opinions. Given Dredge's qualifications as an expert—both having extensive experience in securities practice and being published in the area (R.1999:375,380)—it is unlikely that "the jury would [have] give[n] special attention to [Hines's] opinion as to what the law requires and what conduct violates the law, even if it's the wrong one." Aplt. Br. at 39.

Finally, contrary to defendant's contention, the trial court did properly instruct the jury on the law and the weight to be given expert testimony on the law. Both before trial began and before jury deliberations, the court instructed the jury that "[y]ou are to be governed in your deliberations solely by the evidence introduced in this trial and the law as stated to you by me" (R.1999:7,10;R.1428;Instr.1). In addition, during Hines's testimony, the court noted that Hines's testimony was only "his opinion" (R.1999:52). And, at the close of evidence, the court instructed the jury that it was "not bound . . . by [expert] opinion" and "[i]f an expert has expressed an opinion of the law which is in conflict with these instructions, you are to disregard the opinion of the expert witness" (R.1436; Instr.8). The court also instructed the jury as to the elements of the crime the State had to prove and the statutory definitions of terms included within those elements (R.1443-44,1446; Instr.15,17). *See Larsen II*, 865 P.2d at 1363 (finding no prejudice where trial court "correctly admonishe[s] the jury as to the relative roles of expert testimony and opinion evidence," "instruct[s] the jury to accord no unusual deference to an expert's opinions," and gives "careful instructions regarding the legal definition[s] and requirements of the term[s] . . . as used in the [governing] statute"); *Lurie*, 673 N.Y.S.2d at 63.[5]

In sum, none of defendant's claims of prejudice withstand scrutiny.

* * * * *

[5] In his brief, defendant claims the trial court erred "by refusing . . . to offer [his] proposed curative jury instruction that affirmative disclosure of material facts is not required." Aplt. Br. at 37. Defendant's one-paragraph discussion of this issue, however, is inadequately briefed. *See* Utah R. App. P. 24(a)(9) (brief "shall contain . . . citations to the authorities, statutes, and parts of the record relied on"); *State v. Gomez*, 2002 UT 120, ¶ 20, 63 P.3d 72 (appellate court "is not simply a depository in which the appealing party may dump the burden of argument and research") (citations omitted). This Court may also reject defendant's claim because the proposed instruction was, on its face, confusing. *See* R. 1663.

Because defendant has not shown that the trial court abused its discretion in admitting Hines's testimony, defendant's challenge to that testimony fails.

III.

DEFENDANT'S DUE PROCESS AND SEPARATION OF POWERS CLAIMS FAIL, WHERE THEY REST ON AN INACCURATE PORTRAYAL OF THE STATE'S LEGAL ARGUMENTS TO THE JURY AND WHERE THE TRIAL COURT, IN ANY CASE, PROPERLY INSTRUCTED THE JURY ON THE LAW

Defendant claims that "Utah Code Section 61-1-1 is unconstitutional as applied to [him] in this case because it is both unconstitutionally vague and contrary to the separations of powers clause." Aplt. Br. at 42. Defendant's vagueness claim rests on his contention that "the State both before and throughout trial applied an incorrect theory and interpretation of Section 61-1-1(2) that informed the jury they could convict [him] for failure to affirmatively disclose all facts." *Id.* at 43. Similarly, defendant's separation of powers claim rests on "[t]he State's and [its expert's] attempts to interpret Section 61-1-1(2) as a general disclosure statute" *Id.* at 45. Defendant's claim lacks merit.

Even assuming arguendo the State mischaracterized the law in this case, that alone cannot support defendant's due process and separation of powers claims. Under well-established law, "'[m]isstatements of the law do not prejudice a defendant where the error has been satisfactorily corrected.'" *State v. Longshaw*, 961 P.2d 925, 930 (Utah App. 1998) (quoting *State v. Hovater*, 914 P.2d 37, 44 (Utah 1996), and other cases). And the error has been satisfactorily corrected if "the trial court provide[s] the jury with a complete instruction on the law and direct[s] the jurors to follow the law as stated by the court." *Id.* (citing *State v. Boyatt*, 854 P.2d 550, 555 (Utah App. 1993)).

Thus, to succeed on his due process and separation of powers claims, defendant must show at a minimum both that the prosecutor misstated the law and that the trial court's jury instructions failed to correct it. Defendant cannot make that showing in this case.

First, as discussed, the State did not misrepresent the elements of securities fraud under Utah Code Ann. § 61-1-1(2). *See* pp. 32-38 *supra*.

Second, even if the State had misrepresented that law, the jury instructions were adequate to correct it. The jury was twice instructed that the court "will instruct you on the law that you must follow and apply in deciding your verdict" (R.1999:7;R.1999:10). In addition, after one of defendant's objections during Mr. Hines's testimony, the trial court reiterated that "the court is going to indicate to the jury that at some point in this trial the court is going to give you instructions with respect to a, issues of law that you, that will govern your deliberations. And a, at that time a, the court will instruct you as to what the law is" (R.1999:61). Then, in its written instructions, the court reiterated that the jury was "to be governed in your deliberations solely by the evidence introduced in this trial and the law as stated to you by me" (R.1428;Instr.1). The jury was also instructed that "[i]f an expert has expressed an opinion of the law which is in conflict with these instructions, you are to disregard the opinion of the expert witness" (R.1436;Instr.8). In addition, it was instructed that to find defendant guilty, it had to find beyond a reasonable doubt that, "[i]n connection with the offer, sale or purchase of a security" to Myers and Young, defendant

> [d]irectly or indirectly made an untrue statement of a material fact or omitted to state a material fact necessary in order to make the statements made, in light of the circumstances under which they were made, not misleading; or engaged in an act, practice or course of business which operated or would operate as a fraud or deceit upon [Myers and/or Young].

(R.1443:Jury Instr.15). The jury was also instructed that a "material fact" is "something which a buyer of ordinary intelligence and prudence would think to be of importance in determining whether to buy or sell a security" and that "fraud" is "any untrue statement of a material fact or to omit to state a material fact necessary in order to make the statements made, in the light of the circumstances under which they were made, not misleading" (R.1446-47:Jury Instr.17).

Defendant does not acknowledge these instructions, let alone demonstrate that they failed to correct any alleged misstatement of the law by the State. *See* Aplt. Br. at 42-44. In fact, the sole instruction with which defendant takes issue is Jury Instruction 18. *See id.* at 44-45. Jury Instruction 18 provided:

> One of the allegations against the Defendant in the Charge addressed in Count 1, is that the Defendant, either directly or indirectly, made an untrue statement of material fact, or omitted to state a material fact necessary in order to make the statements made, in light of the circumstances under which they were made, not misleading.
>
> Under this theory, it is not necessary for the State to prove that the individual investor believed the statements to be true, nor that he relied upon the statements in his decision making process, so long as the statements were made such that a reasonable person in similar circumstances would have relied upon the statements in making an investment decision.

(R.1448:Jury Instr.18). According to defendant, this instruction supports his vagueness claim because it "invites the jury to ignore Young's testimony [that he did not rely on defendant's statements in buying the Americandairy.com stock] and instead substitute its own judgment of what information is important." Aplt. Br. at 45.

Defendant does not cite a single legal authority supporting his contention that this instruction "is not constitutional." *Id.* In fact, Jury Instruction 18's mandate that the jury determine materiality based on an objective reasonable person standard is consistent with Utah law. *See Larsen II*, 865 P.2d at 1362 (defining "factually material" in securities fraud context as "likely to influence *a reasonable investor*") (emphasis added); *S & F Supply Co. v. Hunter*, 527 P.2d 217, 221 (Utah 1974) (defining "material fact" as "something which *a buyer or seller of ordinary intelligence and prudence* would think to be of some importance in determining whether to buy or sell") (emphasis added).

In sum, defendant has not shown either that the State misrepresented the law applicable to his case or that the trial court's jury instructions were insufficient to correct any such error. Defendant's constitutional challenges to the law as applied, therefore, fail.

IV.

THIS COURT LACKS JURISDICTION TO REACH DEFENDANT'S CHALLENGE TO THE TRIAL COURT'S DENIAL OF HIS RENEWED MOTION FOR NEW TRIAL WHERE DEFENDANT'S NOTICE OF APPEAL DID NOT PERFECT AN APPEAL FROM THE TRIAL COURT'S ORDER DENYING DEFENDANT'S MOTION

Defendant claims that the trial court abused its discretion in denying his "Motion for New Trial and Renewed Motion [for New Trial] on the grounds that, *inter alia*, [defendant] failed to establish the grounds for a new trial based on newly discovered evidence." Aplt. Br. at 48. In asserting his claim, defendant relies only on the "newly discovered evidence" produced in his Renewed Motion for New Trial. Because defendant failed to file a timely notice of appeal from the trial court's order denying his Renewed Motion for New Trial, this Court lacks jurisdiction to reach defendant's claim.

A. Applicable law.

This Court lacks jurisdiction over any trial court orders from which no proper notice of appeal has been filed. *See Reisbeck v. HCA Health Serv. of Utah, Inc.,* 2000 UT 48, ¶ 5, 2 P.3d 447 ("Failure to file a timely notice of appeal deprives [appellate] court[s] of jurisdiction over the appeal.").

Rule 4, Utah Rules of Appellate Procedure, provides when notices of appeal must be filed from final judgments. Rule 4(a) provides, "In a case in which an appeal is permitted as a matter of right from the trial court to the appellate court, the notice of appeal . . . shall be filed . . . within 30 days after the date of entry of the judgment or order appealed from." Utah R. App. P. 4(a). Rule 4(c) then provides that "[a] notice of appeal filed after the announcement of a decision, judgment, or order but before entry of the judgment or order shall be treated as filed after such entry and on the day thereof." Utah R. App. P. 4(c).

Rule 4(b), however, provides an exception to rules 4(a) and 4(c) when a timely motion for new trial has been filed:

> (b)(1) If a party timely files in the trial court any of the following motions, the time for all parties to appeal from the judgment runs from the entry of the order disposing of the motion:
>
> . . .
>
> (E) a motion for a new trial under Rule 24 of the Utah Rules of Criminal Procedure.

> (b)(2) A notice of appeal filed after announcement or entry of judgment, but before entry of an order disposing of any motion listed in Rule 4(b), shall be treated as filed after entry of the order and on the day thereof, except that such a notice of appeal is effective to appeal only from the underlying judgment. To appeal from a final order disposing of any motion listed in Rule 4(b), a party must file a notice of appeal or an amended notice of appeal within the prescribed time measured from the entry of the order.

Finally, "[a] motion for a new trial shall be made not later than 10 days after entry of the sentence, or within such further time as the court may fix before expiration of the time for filing a motion for new trial." Utah R. Crim. P. 24(c).

B. Proceedings below.

Defendant's jury trial ended on March 7, 2007 (R.1999:478). His sentencing hearing was held on June 6, 2007 (R.1612-14). On June 15, 2007, defendant objected to the restitution order and requested a restitution hearing (R.1619-20). On June 20, 2007, defendant filed a timely Motion for New Trial (R.1621-23,1624-70). On July 2, 2007, the trial court entered its final judgment on defendant's conviction (R.1677-80).

In his Motion for New Trial, defendant included a newly discovered evidence claim (R.1952-53). Defendant listed the newly discovered evidence as (1) discovery of a "previously unknown witness . . . familiar with the Milk King Dairy operation" with "direct information concerning the viability of the dairy operation . . . , which directly impacted the dairy's viability and value prior to its limited involvement with [defendant]"; (2) discovery of a "Trustee's Deed " which "discloses a competitive bid auction at the foreclosure by Central Bank which established a fair market value for the dairy of $161,000.00, while the dairy had debts exceeding $324,000.00 at the time of foreclosure---within months of the dairy's limited involvement with [defendant]"; and (3) discovery of "a Federal Tax Lien for approximately $13,000 [that] was recorded against the dairy within months of Johnson's limited involvement with Mr. Young and Mr. Myers" (R.1652-53). The trial court rejected defendant's newly discovered evidence claim, however, in part because "[a]side from defendant's representations in his memoranda, he present[ed] no evidence or affidavits relating to the evidence he purports to have discovered" (R.1977).

After denying defendant's Motion for New Trial on October 10, 2007, the court held restitution hearings on October 10 and October 24, 2007 (R.1964-79,1980-82,1995-96). On November 8, 2007, defendant filed a timely notice of appeal (R. 2000-02). On November 14, 2007, defendant filed an untimely Renewed Motion for New Trial "based upon new evidence produced by the State at the Restitution Hearings" (R.2003-05,2006-12). On December 5, 2007, the trial court entered a Restitution Order (R.2032-42). On February 11, 2008, the trial court heard argument on defendant's Renewed Motion for New Trial and denied the motion (R.2074). An order attached to defendant's brief suggests the court entered a final order denying defendant's motion on August 12, 2008. *See* Aplt. Br. at Add. G. No copy of that order, however, appears in the record on appeal. In any event, defendant did not file a new notice of appeal after the trial court entered its order.

C. Because defendant's claim goes only to record evidence raised in his Renewed Motion for New Trial and because defendant did not file a timely notice of appeal from the trial court's denial of that motion, this Court lacks jurisdiction to reach defendant's claim.

In asserting that the trial court abused its discretion in denying his motions for new trial, defendant relies on "evidence provided by the State for and during the Restitution

Hearings." Aplt. Br. at 47. That evidence, however, was never produced in support of defendant's original Motion for New Trial. *See* R.1977 (trial court denying defendant's newly discovered evidence claim raised in Motion for New Trial because "[a]side from defendant's representations in his memoranda, he present[ed] no evidence or affidavits relating to the evidence he purports to have discovered). Rather, it was produced only during defendant's restitution hearings, which occurred *after* the trial court had already denied defendant's Motion for New Trial (R.1964-79,1980-82,1995-96). Thus, to rely on that evidence to challenge the denial of his request for new trial, defendant must be challenging the trial court's denial of his Renewed Motion for New Trial, not his Motion for New Trial.

Defendant's Renewed Motion for New Trial, however, was not filed until four months after the trial court entered its final judgment in this case (R.1677-80,2003-2012). Thus, his motion was untimely under rule 24, Utah Rules of Criminal Procedure. *See* Utah R. Crim. P. 24 (requiring motion for new trial be filed no later than ten days after final judgment).

More importantly, even assuming defendant's Renewed Motion for New Trial was timely, the only notice of appeal filed in this case was filed on November 8, 2007, six days before defendant filed his Renewed Motion for New Trial (R.2000-02). Defendant's notice of appeal, therefore, could not perfect an appeal from the trial court's order denying that motion. *See* Utah R. App. P. 4(b) (requiring notice of appeal from denial of new trial motion be filed within 30 days *after* final order denying motion).

This Court, therefore, lacks jurisdiction to reach defendant's challenge to that order. *See Reisbeck*, 2000 UT 48, ¶ 5.[6]

V.

THIS COURT LACKS JURISDICTION TO REACH DEFENDANT'S RESTITUTION CLAIM WHERE DEFENDANT'S NOTICE OF APPEAL DID NOT PERFECT AN APPEAL FROM THE TRIAL COURT'S RESTITUTION ORDER

Finally, defendant challenges the trial court's final order requiring him to pay $120,000 in restitution, entered after two restitution hearings held October 10 and 24, 2007. *See* Aplt. Br. at 51-55. Defendant's notice of appeal, however, was untimely as to the trial court's final restitution order. Thus, this Court lacks jurisdiction to reach his claim.

A. Governing law.

In most cases, where restitution is determined at sentencing, rule 4(a), of the Utah Rules of Appellate Procedure, will govern when a notice of appeal from a final judgment of

[6] Even if this Court reaches defendant's claim, it fails. First, defendant presents no explanation as to why public UCC records were not discoverable before trial. *See* Aplt. Br. at 46-51. Nor does he explain why, knowing that Myers and Young had a loan with Central Bank on the farm property, defendant did not question Myers or Young on the amount of that loan at trial. *See id.* Second, the whole premise of defendant's claim is that the value of the property at issue is its "fair market value." *See id.* at 50. Defendant concedes that "fair market value" is "'what the owner could expect to receive, and the amount a willing buyer would pay to the true owner for the [property].'" *Id.* (quoting *State v. Lyman*, 966 P.2d 278, 284 (Utah App. 1996)). As the trial court ruled when rejecting defendant's claim in his first Motion for New Trial, that definition of "fair market value" "does not require the subtraction of related debts, liens, or other encumbrances on the property" (R. 1973). Indeed, it seems a truism that the fair market value of a $400,000 home does not decrease merely because the current owner has a mortgage on it. Consequently, evidence that Myers and Young transferred the real property on which their farm was located and farm equipment having a purchase or replacement value exceeding $130,000, to Americandairy.com was sufficient to find that the transfer involved at least $10,000 worth of property.

conviction will be sufficient to appeal the restitution order. However, where a final judgment of conviction in a criminal case is entered before final determination of restitution, a timely notice of appeal from the underlying judgment does not necessarily constitute a timely notice of appeal from the order determining restitution. *See State v. Garner*, 2005 UT 6, 106 P.3d 729.

In *Garner*, Garner entered a *Sery* plea but failed to file a timely notice of appeal from the trial court's original final judgment. *See id.* at ¶ 2. Instead, Garner filed notices of appeal from an amended judgment emphasizing the conditional nature of Garner's plea and then from a second amended order "setting the amount of restitution." *Id.* at ¶¶ 2-4.

On appeal, the Utah Supreme Court affirmed this Court's holding that a "modification determining the amount of restitution" does not "create[] a new final judgment and beg[i]n a new time period for appeals." *Id.* at ¶ 14-16. In reaching that conclusion, the supreme court distinguished a civil case in which it had held that "'orders made on attorney fees subsequent to . . . judgment were modifications or amendments in a "material matter"'" that restarted the time for filing a notice of appeal. *Id.* at ¶ 14 (quoting *ProMax Development Corp. v. Raille*, 2000 UT 4, ¶ 11, 998 P.2d 254). In *ProMax*, the court noted, "we held that, 'in the interest of judicial economy,' attorney fees must be determined before the judgment becomes final for purposes of an appeal, and that such a holding 'will "enabl[e] an appellant to appeal all issues, including an award of attorney fees, in a single notice of appeal."'" *Id.* at ¶ 16 (quoting *ProMax*, 2000 UT 4, ¶ 14 (citation omitted)). However, "civil cases and criminal cases implicate principles of judicial economy in different ways." *Id.* And, in criminal cases, "[a] criminal defendant . . . would frequently be disadvantaged by staying the time for filing an appeal until an exact amount for restitution could be determined." *Id.* Consequently, "where orders of restitution remain open to be decided at a later date, the subsequent entry of the amount of restitution is not a new and final judgment for purposes of appealing the underlying merits of a criminal conviction." *Id.* at ¶ 17.

The clear implication of *Garner*'s conclusion that a defendant may not be able "to appeal all issues . . . in a single notice of appeal," *Garner*, 2005 UT 6, ¶ 16, is that, just as a timely notice from a post-judgment restitution order may not be timely to perfect an appeal from the underlying judgment, *see id.* at ¶¶ 14-16, a timely notice of appeal from the underlying judgment may not be timely to perfect an appeal from a post-judgment restitution order. Rather, to appeal from a post-judgment restitution order, a defendant must file a timely notice of appeal as to that order. *Cf. State v. Abbot*, 2000 UT App 342U at *1 (per curiam) (noting that timely appeal from restitution order does not constitute timely appeal from underlying judgment, stating that defendant "appeals from the restitution order entered in this case" and that defendant "did not file a timely appeal from the conviction and sentence, and [therefore] no further issues are properly before this court"); *Salt Lake City v. Guffey*, 2001 UT App 17U at 1 (per curiam) (holding defendant's notice of appeal, filed more than 30 days after final judgment but within 30 days of post-judgment order denying motion to arrest judgment, "was untimely as to her conviction because it was not filed within 30 days of the entry of the conviction"). And, to be timely as to that order, the notice of appeal must be filed "within 30 days after entry of the judgment or order appealed from," Utah R. App. P. 4(a), or "after the announcement of a decision, judgment, or order [in the restitution proceeding] but before entry of the judgment or order," Utah R. App. P. 4(c); *City of St. George v. Smith*, 814 P.2d 1154, 1155-56 (Utah App. 1991) (per curiam) (holding that "decision" in rule 4(c) "is broadly defined to cover final judgments, interlocutory orders, or 'the first step leading to a judgment'" in proceeding from which appeal is taken) (quoting Black's Law Dictionary 366 (5th ed. 1979)).

B. Proceedings below.

On June 6, 2007, as part of sentencing, defendant was ordered to pay restitution, jointly and severally with Paul Schwenke, in the amount of $125,000 (R.1612-14). On June 15, 2007, defendant filed an objection to the restitution order and requested a restitution hearing (R.1619-20). On July 2, 2007, the trial court entered its final Sentence, Judgment, and Commitment (R.1700-22). On October 10, 2007, the trial court entered an order denying defendant's first Motion for New Trial (R.1964-67). On October 10 and 24, 2007, the trial court held restitution hearings (R.1995-96). At the close of those hearings, the trial court did not announce a restitution amount but, rather, "[took] the matter under advisement" (R.2075 (2d) at 132). On November 8, 2007, defendant filed a notice of appeal (R.2000-02). On December 5, 2007, the trial court reduced restitution to $120,000 (R.2032-42).

C. Analysis.

Defendant's notice of appeal, filed after the trial court denied his first motion for new trial but before the trial court announced its decision concerning restitution, did not perfect an appeal from the trial court's restitution order. First, the notice of appeal was not filed "within 30 days after entry of the judgment or order appealed from." Utah R. App. P. 4(a). Thus, the notice of appeal was not timely under rule 4(a). *See id.* Second, the notice of appeal was filed before the trial court announced any "decision, judgment, or order" in the post-judgment restitution proceeding. Utah R. App. P. 4(c). Thus, the notice of appeal was also untimely under rule 4(c). *See id.*; *see also State v. R.C.*, 2005 UT App 105U at *1 (memorandum decision) (per curiam) (holding rule 4(c) did not save juvenile's appeal following entry of two no-contest pleas where notice of appeal was filed before final judgment and "[t]he record does not reflect that the . . . court announced a 'decision, judgment or order,' regarding the judgment and sentence prior to entry of the same"); *Smith*, 813 P.2d at 1155-56.

This Court, therefore, lacks jurisdiction to consider defendant's challenge to the court's restitution order. *See Reisbeck v. HCA Health Serv. of Utah, Inc.*, 2000 UT 48, ¶ 5, 2 P.3d 447 ("Failure to file a timely notice of appeal deprives [appellate] court[s] of jurisdiction over the appeal.").[7]

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[7] Even if this Court were to reach defendant's claim, it would fail. First, because Schwenke's acts were foreseeable given the nature of the August 9th transaction, defendant can be held liable for Schwenke's conduct concerning the farm after August 9th. *See, e.g., State v. Hallett*, 619 P.2d 335, 338-39 (Utah 1980) (holding that, if defendant, "by his wrongful conduct creates a condition of peril, his action can properly be found to be the proximate cause of a resulting injury, even though later events which combined to cause the injury may also be classified as negligent, so long as the later act is something which can reasonably be expected to follow in the natural sequence of events"); *see also State v. Dunn*, 850 P.2d 1201, 1215 (Utah 1993) (holding that "sufficient intervening cause" to relieve one from liability for criminal conduct must be both "'unforeseeable and one in which [the] accused does not participate,'" a cause "'so extraordinary that it is unfair to hold [the] accused responsible'") (citation omitted).

CONCLUSION

For the foregoing reasons, the Court should affirm both defendant's conviction and the trial court's restitution order.

Respectfully submitted March 3, 2009.

MARK L. SHURTLEFF
Utah Attorney General

Karen A. Klucznik

KAREN A. KLUCZNIK
Assistant Attorney General
Counsel for Appellee

Second, although the trial court may have erred in directly equating Myers' and Young's losses to the $50,000 loan taken out against the farm by Schwenke and the $70,000 certificate of deposit Myers lost when the farm went under, the evidence at the restitution hearing was sufficient to support the trial court's $120,000 restitution order. In particular, Myers testified that he lost about $58,000 from the CD when the bank foreclosed on the loan for which it was collateral and spent the other $12,000 paying off farm bills ((R.2075(1):165)). In addition, Myers testified, he and Young lost another "$70,000 or so" in feed costs for feeding Schwenke's cows, which $70,000 Young testified came from their cash reserve (R. 2075(1):203;R.2075(2):26,28).

CERTIFICATE OF SERVICE

I certify that on March 3*, 2009, two copies of the foregoing brief were* ☐ *mailed*

☐ hand-delivered to:

Rodney G. Snow
Clyde Snow Sessions & Swenson
One Utah Center
Salt Lake City, Utah 84111-2216

A digital copy of the brief was also included: ☐ Yes ☐ No

Melissa Freyer

Addenda

Addendum A

RULE 4. APPEAL AS OF RIGHT: WHEN TAKEN

(a) **Appeal from final judgment and order.** In a case in which an appeal is permitted as a matter of right from the trial court to the appellate court, the notice of appeal required by Rule 3 shall be filed with the clerk of the trial court within 30 days after the date of entry of the judgment or order appealed from. However, when a judgment or order is entered in a statutory forcible entry or unlawful detainer action, the notice of appeal required by Rule 3 shall be filed with the clerk of the trial court within 10 days after the date of entry of the judgment or order appealed from.

(b) **Time for appeal extended by certain motions.**

(b)(1) If a party timely files in the trial court any of the following motions, the time for all parties to appeal from the judgment runs from the entry of the order disposing of the motion:

(b)(1)(A) a motion for judgment under Rule 50(b) of the Utah Rules of Civil Procedure;

(b)(1)(B) a motion to amend or make additional findings of fact, whether or not an alteration of the judgment would be required if the motion is granted, under Rule 52(b) of the Utah Rules of Civil Procedure;

(b)(1)(C) a motion to alter or amend the judgment under Rule 59 of the Utah Rules of Civil Procedure;

(b)(1)(D) a motion for a new trial under Rule 59 of the Utah Rules of Civil Procedure; or

(b)(1)(E) a motion for a new trial under Rule 24 of the Utah Rules of Criminal Procedure.

(b)(2) A notice of appeal filed after announcement or entry of judgment, but before entry of an order disposing of any motion listed in Rule 4(b), shall be treated as filed after entry of the order and on the day thereof, except that such a notice of appeal is effective to appeal only from the underlying judgment. To appeal from a final order disposing of any motion listed in Rule 4(b), a party must file a notice of appeal or an amended notice of appeal within the prescribed time measured from the entry of the order.

(c) **Filing prior to entry of judgment or order.** A notice of appeal filed after the announcement of a decision, judgment, or order but before entry of the judgment or order shall be treated as filed after such entry and on the day thereof.

(d) **Additional or cross-appeal.** If a timely notice of appeal is filed by a party, any other party may file a notice of appeal within 14 days after the date on which the first notice of appeal was filed, or within the time otherwise prescribed by paragraphs (a) and (b) of this rule, whichever period last expires.

(e) **Extension of time to appeal.** The trial court, upon a showing of excusable neglect or good cause, may extend the time for filing a notice of appeal upon motion filed not later than 30 days after the expiration of the time prescribed by paragraphs (a) and (b) of this rule. A motion filed before expiration of the prescribed time may be ex parte unless the trial court otherwise requires. Notice of a motion filed after expiration of the prescribed time shall be given to the other parties in accordance with the rules of practice of the trial court. No extension shall exceed 30 days past the prescribed time or 10 days from the date of entry of the order granting the motion, whichever occurs later.

(f) Motion to reinstate period for filing a direct appeal in criminal cases. Upon a showing that a criminal defendant was deprived of the right to appeal, the trial court shall reinstate the thirty-day period for filing a direct appeal. A defendant seeking such reinstatement shall file a written motion in the sentencing court and serve the prosecuting entity. If the defendant is not represented and is indigent, the court shall appoint counsel. The prosecutor shall have 30 days after service of the motion to file a written response. If the prosecutor opposes the motion, the trial court shall set a hearing at which the parties may present evidence. If the trial court finds by a preponderance of the evidence that the defendant has demonstrated that he was deprived of his right to appeal, it shall enter an order reinstating the time for appeal. The defendant's notice of appeal must be filed with the clerk of the trial court within 30 days after the date of entry of the order.

(g) Appeal by an Inmate Confined in an Institution. If an inmate confined in an institution files a notice of appeal in either a civil or criminal case, the notice of appeal is timely filed if it is deposited in the institution's internal mail system on or before the last day for filing. Timely filing may be shown by a notarized statement or written declaration setting forth the date of deposit and stating that first-class postage has been prepaid. If a notice of appeal is filed in the manner provided in this paragraph (f), the 14-day period provided in paragraph (d) runs from the date when the trial court receives the first notice of appeal.

RULE 24. MOTION FOR NEW TRIAL

(a) The court may, upon motion of a party or upon its own initiative, grant a new trial in the interest of justice if there is any error or impropriety which had a substantial adverse effect upon the rights of a party.

(b) A motion for a new trial shall be made in writing and upon notice. The motion shall be accompanied by affidavits or evidence of the essential facts in support of the motion. If additional time is required to procure affidavits or evidence the court may postpone the hearing on the motion for such time as it deems reasonable.

(c) A motion for a new trial shall be made not later than 10 days after entry of the sentence, or within such further time as the court may fix before expiration of the time for filing a motion for new trial.

(d) If a new trial is granted, the party shall be in the same position as if no trial had been held and the former verdict shall not be used or mentioned either in evidence or in argument.

RULE 702. TESTIMONY BY EXPERTS

If scientific, technical, or other specialized knowledge will assist the trier of fact to understand the evidence or to determine a fact in issue, a witness qualified as an expert by knowledge, skill, experience, training, or education, may testify thereto in the form of an opinion or otherwise.

RULE 704. OPINION ON ULTIMATE ISSUE

(a) Except as provided in subparagraph (b), testimony in the form of an opinion or inference otherwise admissible is not objectionable because it embraces an ultimate issue to be decided by the trier of fact.

(b) No expert witness testifying with respect to the mental state or condition of a defendant in a criminal case may state an opinion or inference as to whether the defendant did or did not have the mental state or condition constituting an element of the crime charged or of a defense thereto. Such ultimate issues are matters for the trier of fact alone.

61-1-13. Definitions.

As used in this chapter:

(1) "Affiliate" means a person that, directly or indirectly, through one or more intermediaries, controls or is controlled by, or is under common control with a person specified.

(2) "Agent" means any individual other than a broker-dealer who represents a broker-dealer or issuer in effecting or attempting to effect purchases or sales of securities. "Agent" does not include an individual who represents:

(a) an issuer, who receives no commission or other remuneration, directly or indirectly, for effecting or attempting to effect purchases or sales of securities in this state, and who:

(i) effects transactions in securities exempted by Subsection 61-1-14(1)(a), (b), (c), (i), or (j);

(ii) effects transactions exempted by Subsection 61-1-14(2);

(iii) effects transactions in a covered security as described in Sections 18(b)(3) and 18(b)(4)(D) of the Securities Act of 1933; or

(iv) effects transactions with existing employees, partners, officers, or directors of the issuer; or

(b) a broker-dealer in effecting transactions in this state limited to those transactions described in Section 15(h)(2) of the Securities Exchange Act of 1934. A partner, officer, or director of a broker-dealer or issuer, or a person occupying a similar status or performing similar functions, is an agent only if he otherwise comes within this definition.

(3) "Broker-dealer" means any person engaged in the business of effecting transactions in securities for the account of others or for his own account. "Broker-dealer" does not include:

(a) an agent;

(b) an issuer;

(c) a bank, savings institution, or trust company;

(d) a person who has no place of business in this state if:

(i) the person effects transactions in this state exclusively with or through:

(A) the issuers of the securities involved in the transactions;

(B) other broker-dealers; or

(C) banks, savings institutions, trust companies, insurance companies, investment companies as defined in the Investment Company Act of 1940, pension or profit-sharing trusts, or other financial institutions or institutional buyers, whether acting for themselves or as trustees; or

(ii) during any period of 12 consecutive months the person does not direct more than 15 offers to sell or buy into this state in any manner to persons other than those specified in Subsection (3)(d)(i), whether or not the offeror or any of the offerees is then present in this state;

(e) a general partner who organizes and effects transactions in securities of three or fewer limited partnerships, of which the person is the general partner, in any period of 12 consecutive months;

(f) a person whose participation in transactions in securities is confined to those transactions made by or through a broker-dealer licensed in this state;

(g) a person who is a real estate broker licensed in this state and who effects transactions in a bond or other evidence of indebtedness secured by a real or chattel mortgage or deed of trust, or by an agreement for the sale of real estate or chattels, if the entire mortgage, deed or trust, or agreement, together with all the bonds or other evidences of indebtedness secured thereby, is offered and sold as a unit;

(h) a person effecting transactions in commodity contracts or commodity options; or

(i) other persons as the division, by rule or order, may designate, consistent with the public interest and protection of investors, as not within the intent of this subsection.

(4) "Buy" or "purchase" means every contract for purchase of, contract to buy, or acquisition of a security or interest in a security for value.

(5) "Commodity" means, except as otherwise specified by the division by rule:

(a) any agricultural, grain, or livestock product or byproduct, except real property or any timber, agricultural, or livestock product grown or raised on real property and offered or sold by the owner or lessee of the real property;

(b) any metal or mineral, including a precious metal, except a numismatic coin whose fair market value is at least 15% greater than the value of the metal it contains;

(c) any gem or gemstone, whether characterized as precious, semi-precious, or otherwise;

(d) any fuel, whether liquid, gaseous, or otherwise;

(e) any foreign currency; and

(f) all other goods, articles, products, or items of any kind, except any work of art offered or sold by art dealers, at public auction or offered or sold through a private sale by the owner of the work.

(6) "Commodity contract" means any account, agreement, or contract for the purchase or sale, primarily for speculation or investment purposes and not for use or consumption by the offeree or purchaser, of one or more commodities, whether for immediate or subsequent delivery or whether delivery is intended by the parties, and whether characterized as a cash contract, deferred shipment or deferred delivery contract, forward contract, futures contract, installment or margin contract, leverage contract, or otherwise.

(a) Any commodity contract offered or sold shall, in the absence of evidence to the contrary, be presumed to be offered or sold for speculation or investment purposes.

(b) (i) A commodity contract shall not include any contract or agreement which requires, and under which the purchaser receives, within 28 calendar days from the payment in good funds any portion of the purchase price, physical delivery of the total amount of each commodity to be purchased under the contract or agreement.

(ii) The purchaser is not considered to have received physical delivery of the total amount of each commodity to be purchased under the contract or agreement when the commodity or commodities are held as collateral for a loan or are subject to a lien of any person when the loan or lien arises in connection with the purchase of each commodity or commodities.

(7) (a) "Commodity option" means any account, agreement, or contract giving a party to the option the right but not the obligation to purchase or sell one or more commodities or one or more commodity contracts, or both whether characterized as an option, privilege, indemnity, bid, offer, put, call, advance guaranty, decline guaranty, or otherwise.

(b) It does not include an option traded on a national securities exchange registered with the United States Securities and Exchange Commission or on a board of trade designated as a contract market by the Commodity Futures Trading Commission.

(8) "Director" means the director of the Division of Securities charged with the administration and enforcement of this chapter.

(9) "Division" means the Division of Securities established by Section 61-1-18.

(10) "Executive director" means the executive director of the Department of Commerce.

(11) "Federal covered adviser" means a person who is registered under Section 203 of the Investment Advisers Act of 1940 or is excluded from the definition of "investment adviser" under Section 202(a)(11) of the Investment Advisers Act of 1940.

(12) "Federal covered security" means any security that is a covered security under Section 18(b) of the Securities Act of 1933 or rules or regulations promulgated thereunder.

(13) "Fraud," "deceit," and "defraud" are not limited to their common-law meanings.

(14) "Guaranteed" means guaranteed as to payment of principal or interest as to debt securities, or dividends as to equity securities.

(15) (a) "Investment adviser" means any person who, for compensation, engages in the business of advising others, either directly or through publications or writings, as to the value of securities or as to the advisability of investing in, purchasing, or selling securities, or who, for compensation and as a part of a regular business, issues or promulgates analyses or reports concerning securities.

(b) "Investment adviser" also includes financial planners and other persons who, as an integral component of other financially related services, provide the foregoing investment advisory services to others for compensation and as part of a business or who hold themselves out as providing the foregoing investment advisory services to others for compensation.

(c) "Investment adviser" does not include:

(i) an investment adviser representative;

(ii) a bank, savings institution, or trust company;

(iii) a lawyer, accountant, engineer, or teacher whose performance of these services is solely incidental to the practice of his profession;

(iv) a broker-dealer or its agent whose performance of these services is solely incidental to the conduct of its business as a broker-dealer and who receives no special compensation for them;

(v) a publisher of any bona fide newspaper, news column, news letter, news magazine, or business or financial publication or service, of general, regular, and paid circulation, whether communicated in hard copy form, or by electronic means, or otherwise, that does not consist of the rendering of advice on the basis of the specific investment situation of each client;

(vi) any person who is a federal covered adviser; or

(vii) such other persons not within the intent of Subsection (15) as the division may by rule or order designate.

(16) "Investment adviser representative" means any partner, officer, director of, or a person occupying a similar status or performing similar functions, or other individual, except clerical or ministerial personnel, who:

(a) (i) is employed by or associated with an investment adviser who is licensed or required to be licensed under this chapter; or

(ii) has a place of business located in this state and is employed by or associated with a federal covered adviser; and

(b) does any of the following:

(i) makes any recommendations or otherwise renders advice regarding securities;

(ii) manages accounts or portfolios of clients;

(iii) determines which recommendation or advice regarding securities should be given;

(iv) solicits, offers, or negotiates for the sale of or sells investment advisory services; or

(v) supervises employees who perform any of the foregoing.

(17) (a) "Issuer" means any person who issues or proposes to issue any security or has outstanding a security that it has issued.

(b) With respect to a preorganization certificate or subscription, "issuer" means the promoter or the promoters of the person to be organized.

(c) With respect to:

(i) interests in trusts, including but not limited to collateral trust certificates, voting trust certificates, and certificates of deposit for securities; or

(ii) shares in an investment company without a board of directors, "issuer" means the person or persons performing the acts and assuming duties of a depositor or manager under the provisions of the trust or other agreement or instrument under which the security is issued.

(d) With respect to an equipment trust certificate, a conditional sales contract, or similar securities serving the same purpose, "issuer" means the person by whom the equipment or property is to be used.

(e) With respect to interests in partnerships, general or limited, "issuer" means the partnership itself and not the general partner or partners.

(f) With respect to certificates of interest or participation in oil, gas, or mining titles or leases or in payment out of production under the titles or leases, "issuer" means the owner of the title or lease or right of production, whether whole or fractional, who creates fractional interests therein for the purpose of sale.

(18) "Nonissuer" means not directly or indirectly for the benefit of the issuer.

(19) "Person" means an individual, a corporation, a partnership, a limited liability company, an association, a joint-stock company, a joint venture, a trust where the interests of the beneficiaries are evidenced by a security, an unincorporated organization, a government, or a political subdivision of a government.

(20) "Precious metal" means the following, whether in coin, bullion, or other form:

(a) silver;

(b) gold;

(c) platinum;

(d) palladium;

(e) copper; and

(f) such other substances as the division may specify by rule.

(21) "Promoter" means any person who, acting alone or in concert with one or more persons, takes initiative in founding or organizing the business or enterprise of a person.

(22) (a) "Sale" or "sell" includes every contract for sale of, contract to sell, or disposition of, a security or interest in a security for value.

(b) "Offer" or "offer to sell" includes every attempt or offer to dispose of, or solicitation of an offer to buy, a security or interest in a security for value.

(c) The following are examples of the definitions in Subsections (22)(a) and (b):

(i) any security given or delivered with or as a bonus on account of any purchase of a security or any other thing, is part of the subject of the purchase, and has been offered and sold for value;

(ii) a purported gift of assessable stock is an offer or sale as is each assessment levied on the stock;

(iii) an offer or sale of a security that is convertible into, or entitles its holder to acquire or subscribe to another security of the same or another issuer is an offer or sale of that security, and also an offer of the other security, whether the right to convert or acquire is exercisable immediately or in the future;

(iv) any conversion or exchange of one security for another shall constitute an offer or sale of the security received in a conversion or exchange, and the offer to buy or the purchase of the security converted or exchanged;

(v) securities distributed as a dividend wherein the person receiving the dividend surrenders the right, or the alternative right, to receive a cash or property dividend is an offer or sale;

(vi) a dividend of a security of another issuer is an offer or sale; or

(vii) the issuance of a security under a merger, consolidation, reorganization, recapitalization, reclassification, or acquisition of assets shall constitute the offer or sale of the security issued as well as the offer to buy or the purchase of any security surrendered in connection therewith, unless the sole purpose of the transaction is to change the issuer's domicile.

(d) The terms defined in Subsections (22)(a) and (b) do not include:

(i) a good faith gift;

(ii) a transfer by death;

(iii) a transfer by termination of a trust or of a beneficial interest in a trust;

(iv) a security dividend not within Subsection (22)(c)(v) or (vi);

(v) a securities split or reverse split; or

(vi) any act incident to a judicially approved reorganization in which a security is issued in exchange for one or more outstanding securities, claims, or property interests, or partly in such exchange and partly for cash.

(23) "Securities Act of 1933," "Securities Exchange Act of 1934," "Public Utility Holding Company Act of 1935," and "Investment Company Act of 1940" mean the federal statutes of those names as amended before or after the effective date of this chapter.

(24) (a) "Security" means any:

(i) note;

(ii) stock;

(iii) treasury stock;

(iv) bond;

(v) debenture;

(vi) evidence of indebtedness;

(vii) certificate of interest or participation in any profit-sharing agreement;

(viii) collateral-trust certificate;

(ix) preorganization certificate or subscription;

(x) transferable share;

(xi) investment contract;

(xii) burial certificate or burial contract;

(xiii) voting-trust certificate;

(xiv) certificate of deposit for a security;

(xv) certificate of interest or participation in an oil, gas, or mining title or lease or in payments out of production under such a title or lease;

(xvi) commodity contract or commodity option;

(xvii) interest in a limited liability company; or

(xviii) in general, any interest or instrument commonly known as a "security," or any certificate of interest or participation in, temporary or interim certificate for, receipt for, guarantee of, or warrant or right to subscribe to or purchase any of the foregoing.

(b) "Security" does not include any:

(i) insurance or endowment policy or annuity contract under which an insurance company promises to pay money in a lump sum or periodically for life or some other specified period; or

(ii) interest in a limited liability company in which the limited liability company is formed as part of an estate plan where all of the members are related by blood or marriage, there are five or fewer members, or the person claiming this exception can prove that all of the members are actively engaged in the management of the limited liability company. Evidence that members vote or have the right to vote, or the right to information concerning the business and affairs of the limited liability company, or the right to participate in management, shall not establish, without more, that all members are actively engaged in the management of the limited liability company.

(25) "State" means any state, territory, or possession of the United States, the District of Columbia, and Puerto Rico.

(26) "Working days" means 8 a.m. to 5 p.m., Monday through Friday, exclusive of legal holidays listed in Section 63-13-2.

(27) A term not defined in Section 61-1-13 shall have the meaning as established by division rule. The meaning of a term neither defined in this section nor by rule of the division shall be the meaning commonly accepted in the business community.

61-1-1. Fraud unlawful.

It is unlawful for any person, in connection with the offer, sale, or purchase of any security, directly or indirectly to:

(1) employ any device, scheme, or artifice to defraud;

(2) make any untrue statement of a material fact or to omit to state a material fact necessary in order to make the statements made, in the light of the circumstances under which they are made, not misleading; or

(3) engage in any act, practice, or course of business which operates or would operate as a fraud or deceit upon any person.

61-1-21. Penalties for violations.

(1) A person is guilty of a third degree felony who willfully violates any provision of this chapter except Sections 61-1-1 and 61-1-16, or who willfully violates any rule or order under this chapter, or who willfully violates Section 61-1-16 knowing the statement made to be false or misleading in any material respect.

(2) A person who willfully violates Section 61-1-1:

(a) is guilty of a third degree felony if, at the time the crime was committed, the property, money, or thing unlawfully obtained or sought to be obtained was worth $10,000 or less;

(b) is guilty of a second degree felony if, at the time the crime was committed, the property, money, or thing unlawfully obtained or sought to be obtained was worth more than $10,000.

(3) No person may be imprisoned for the violation of any rule or order if he proves that he had no knowledge of the rule or order.

Addendum B

[redacted]

STOCK PURCHASE/TRADE AGREEMENT

THIS AGREEMENT is made and entered into this 2nd day of August, 2000, by and between American-dairy.com, Inc. ("Seller"), and Milk-King Dairy, L.C. ("Purchaser").

WHEREAS, the Seller is the record owner and holder of the issue d and outstanding shares of the capital stock of American-dairy.com, Inc. ("Corporation"), a Utah corporation, which Corporation has issued capital stock of 10,000,000 shares of .001 cents par value common stock; and

WHEREAS, the Purchaser desires to purchase said stock and the Seller desires to sell said stock, upon the terms and subject to the conditions hereinafter set forth;

NOW THEREFORE, in consideration of the mutual covenants and agreements contained in this Agreement, and in order to consummate the purchase and the sale of the Corporation's Stock aforementioned, it is hereby agreed as follows:

1. PURCHASE AND SALE:

Subject to the terms and conditions hereinafter set forth, at the closing of the transaction contemplated hereby, the Seller shall sell, convey, transfer, and deliver to the Purchaser certificates representing such stock, and the Purchaser shall purchase from the Seller the Corporation's Stock in consideration of the purchase price set forth in this Agreement. The certificates representing the Corporation's Stock shall be duly endorsed for transfer or accompanied by appropriate stock transfer powers duly executed in blank, in either case with signatures guaranteed in the customary fashion. The closing of the transactions contemplated by this Agreement ("Closing"), shall be held at 220 South 200 East, Suite 300, Salt Lake City, Utah 84111, on August 3, 2000, at 1:00 p.m., or such other place, date and time as the parties hereto may otherwise agree.

2. AMOUNT AN D PAYMENT OF PURCHASE PRICE.

The total consideration and method of payment thereof are fully set out in Exhibit "A" attached hereto and made a part hereof.

3. REPRESENTATIONS AND WARRANTIES OF SELLER.

Seller hereby warrants and represents:

STATE'S EXHIBIT 1

(a) Organization and Standing. Corporation is a corporation duly organized, validly existing and in good standing under the laws of the State of Utah and has the corporate power and authority to carry on its business as it is no being conducted.

(b) Restrictions on Stock.

I. The Seller is not a party to any agreement, written or oral, creating rights in respect to the Corporation's Stock in any third person or relating to the voting of the Corporation's Stock.

II. Seller is the lawful owner of the Stock, free and clear of all security interests, liens, encumbrances, equities and other charges.

III. There are no existing warrants, options, stock purchase agreements, redemption agreements, restrictions or any nature, calls or rights to subscribe of any character relating to the stock, nor are there any securities convertible into such stock.

4. REPRESENTATIONS AND WARRANTIES OF SELLER AND PURCHASER.

Seller and Purchaser hereby represent and warrant that there has been no act or omission by Seller, Purchaser or the Corporation which would give rise to any valid claim against any of the parties hereto for a brokerage commission, finder's fee, or other like payment in connection with the transactions contemplated hereby.

5. GENERAL PROVISIONS.

(a) Entire Agreement. This Agreement (including the exhibits hereto and any written amendments hereof executed by the parties) constitutes the entire Agreement and supersedes all prior agreements and understandings, oral and written, between the parties hereto with respect to the subject matter hereof.

(b) Sections and Other Headings. The section and other headings contained in this Agreement are for reference purposes only and shall not affect the meaning or interpretation of this Agreement.

(c) Governing Law. This agreement, and all transactions contemplated hereby, shall be governed by, construed and enforced in accordance with the laws of the State of Utah. The parties herein waive trial by jury and agree to submit to the personal jurisdiction and venue of a court of subject matter jurisdiction located in Salt Lake County, State of Utah. In the event that litigation results from or arises out of this Agreement or the performance thereof, the parties agree to reimburse the prevailing party's reasonable attorney's fees, court costs, and all other expenses, whether or not taxable by the court as costs, in addition to any other relief to which the prevailing party may be entitled.

6. OPTION TO PURCHASER.

Purchaser shall have the option to sell the stock that it purchased under this Agreement back to Seller for the following consideration:

(a) Reconveyance by deed of all the real properties listed on Exhibit A that had been conveyed under this Agreement, subject to debt not to exceed the balance of the debt that was existing at the time of this Agreement less reasonable reduction for principal and interest payments from the time of this Agreement.

(b) Reconveyance by bill of sale of all the personal properties and equipment listed on Exhibit A that had been conveyed under this Agreement, subject to debt not to exceed the balance of the debt that was existing at the time of this Agreement less reasonable reduction for principal and interest payments from the time of this Agreement.

(c) Improvements since this Agreement.

Purchaser, upon the exercise of the option herein, agrees to reimburse Seller for the value of improvements to the dairy operations from the time of this Agreement to the date of the exercise of Purchaser's option.

I. Cows: Purchaser shall reimburse Seller for all costs and expenses in connection with the purchase of cows purchased by American-dairy.com from the time of this Agreement. If the cows are financed, the parties shall take all necessary steps, if permitted by the financing institution to qualify Purchaser to assume the indebtedness on the cows.

II. Equipment including computer and internet: Purchaser shall reimburse Seller for the cost of all equipments installed or purchased by Seller since the time of this Agreement.

The parties acknowledge that pursuant to the exercise of this option to repurchase, that Purchaser desires, if possible, to acquire and/or continue to operate its dairy business with the cows and equipment acquired by Seller. However, the Purchaser cannot be compelled to assume any financing or pay costs if Purchaser is unable. If the financing on the cows and equipment cannot be assured, the Seller and Purchaser agree to work together insofar as possible, to let Purchasers operate with the existing financing on them. The aforesaid is subject to rights of any financial institution having a lien on or an interest in the cows and equipment.

The Purchaser has the right to exercise this option if, after a reasonable time and in no event more than two years from the time of this Agreement, American-dairy.com, Inc. has not registered its stock for a public offering.

7. DIRECTORSHIP.

Purchaser shall have the right to appoint one member of the Board of Directors. Such member will be in addition to the presently constituted board of directors.

IN WITNESS WHEREOF, this Agreement has been executed by each of the individual parties hereto on the date first above written.

AMERICAN-DAIRY.COM, INC.

By: ______________________
JAMIS M. JOHNSON, CEO

MILK-KING DAIRY, L.C.

By: ______________________
JAMES L. YOUNG,
Managing Member

EXHIBIT "A"

AMOUNT AND PAYMENT OF PURCHASE PRICE

(a) Consideration.

As total consideration for the purchase and sale of the Corporation's Stock, pursuant to this Agreement, the Purchaser shall pay to the Seller the sum of Two Hundred Thousand Dollars ($200,000), in trade for the equivalent sum representing equity in Milk-King Dairy, L.C., properties and equipment. Such total consideration to be referred to in this Agreement as the "Purchase Price".

(b) Payment.

1. The deed to the following real properties shall be duly executed and delivered to American-dairy.com at the time of closing:

The real property comprising the Milk King Farms, L.C. dairy operation
as set forth in the attached Deed and legal description

2. The bill of sale for the following personal properties and equipment:

See the Exhibit attached to that Bill of Sale attached hereto.

The stock shall be issued as follows:

Ronald R. Myers	150,000 shares
James L. Young	50,000 shares

SCHEDULE "A"

John Deer 7200 Tractor

Schuler 4910 Vertical Mixer

Double - 12 parallel milk parlor and associated equipment, including stalls, milking units, milk transfer equipment, milk storage and cooling equipment

Heatwatch Electronic Heat Detection System

Scoopmobile LD-7 Loader

Allis Chalmers 7030 Tractor